



ANNUAL COMPREHENSIVE FINANCIAL REPORT

For the fiscal year ended June 30, 2025



Issued by Jonathan Galbraith
Chief Financial Officer
Chief Operating Officer

Annual Comprehensive Financial Report of the

Linn-Mar Community School District
Marion, Iowa

For the Fiscal Year Ended June 30, 2025

Official Issuing Report
Jon Galbraith, Chief Financial Officer

Office Issuing Report
Business Office

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Amy Kortemeyer
Superintendent

Nathan Wear
Associate Superintendent/Chief
Academic Officer

Jon Galbraith
Chief Financial Officer/Chief
Operating Officer

Melissa Frick
Executive Director of
Student Services

Karla Christian
Chief HR Officer/Executive
Director of Communications

Jeri Ramos
Chief Officer of
Technology Services

Katie Lowe-Lancaster
President
Board of Education

Inspire Learning. **Unlock Potential. Empower Achievement.**

November 19, 2025

Members of the Board of Education, and the Citizens of Linn-Mar Community School District
Marion, Iowa

We are pleased to submit to you the Annual Comprehensive Financial Report of the Linn-Mar Community School District for the fiscal year ending June 30, 2025. This report has been prepared to conform to the guidelines recommended by the Association of School Business Officials International.

MANAGEMENT RESPONSIBILITY

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of the operations of the governmental activities, business-type activities, each major fund and aggregate of the remaining funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes all funds of the entire District. The District is not included in any other reporting entity, nor are other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

ACFR

The 2025 Annual Comprehensive Financial Report is presented in four sections: Introductory, Financial, Statistical and Internal Controls and Compliance.

Introductory Section - This section includes a transmittal letter, economic outlook of the community, the District's accomplishments, the Certificate of Excellence in Financial Reporting for the year ended June 30, 2025, the District's Team Leadership Network and a list of the Board of Directors and District Officials.

Financial Section - The School District's financial statements and schedules are presented in accordance with the financial reporting pyramid set forth by the Governmental Accounting Standards Board. This section includes the independent auditor's report, Management's Discussion and Analysis (MD&A), audited basic financial statements, required supplementary information and combining and individual fund statements and schedules. The audited basic financial statements provide both an overview and a broad long-term perspective of the School District as a whole in the government-wide financial statements. The MD&A is provided by management as a narrative introduction, overview, and analysis to accompany the basic financial statements. This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The District's MD&A can be found immediately following the report of the independent auditors.

Statistical Section - This section includes selective financial, economic and demographic information, generally presented on a multi-year basis for comparison.

Compliance Section - This section includes audit reports relating to the Board's single audit over internal control, federal and state awards, Schedule of Expenditures of Federal and State Awards.

Linn-Mar Community School District

This report includes all funds of the Linn-Mar Community School District. The District provides a full range of services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical and extra- and co-curricular activities.

The District is governed by a seven-member elected Board of Education. Board terms are four years with school elections held in November of odd numbered years. The Board of Directors is a policymaking and planning body whose decisions are carried out by school administrators.

The Linn-Mar Community School District is located in Linn County in east central Iowa. The District includes portions of the Cities of Cedar Rapids, Marion and Robins, as well as unincorporated land in northern Linn County. The District originated in 1948 as Marion Rural Independent School District and became the Marion Rural Community School District under the Community School Reorganization Act adopted in 1955. It operated under this name from 1955 to 1963 when its name was changed to Linn-Mar Community School District. The District is currently the 12th largest of Iowa's 325 public school systems. The certified enrollment taken on October 1, 2025, was approximately 7,449 students.

The District operates one high school, two middle schools, two intermediate buildings, seven elementary schools, an alternative High School Program, a special education transition program, a home school assistance program and an early childhood preschool program. The District provides a full range of educational services appropriate to students in early childhood and preschool through grade twelve. These services include basic, regular and enriched academic education; special education for children with special needs; vocational-technical education; and numerous individualized programs such as specialized instruction for students at-risk and for limited English-speaking students.

In addition to a strong PK-12 educational program, the District works with Kirkwood Community College to offer courses for qualified high school students and a community education program for adult learners.

The District is supported financially by state aid, property taxes, state and federal grants for special projects, local revenue received for tuition and other services, and a state-wide one percent sales tax.

Economic Condition and Outlook

Linn-Mar Community School District is located in the Cedar Rapids Metropolitan Service Area (MSA). The District covers 64 square miles and encompasses the north part of the city of Marion and the NE portion of the city of Cedar Rapids. Major economic features of the Cedar Rapids Metropolitan Service Area include business, medical, recreational, educational, and cultural services.

Collins Aerospace (formerly Rockwell Collins) is the largest employer, not only in the Linn-Mar District, but in the Cedar Rapids metro area, employing approximately 8,700 people in the Cedar Rapids/Iowa City area. Collins produces advanced communications and aviation electronics for both government and commercial customers. The company is a leading supplier of commercial and military aviation electronics and communications systems.

Unemployment rates in the MSA Corridor has raised to 4.10% from 3.70% in 2023. The City of Marion continues to grow as does the City of Cedar Rapids. The District's total taxable valuation for assessment year 2023 is approximately \$2.75 billion.

The District's facilities are in good condition. The oldest building, which opened in 1948 and has several additions, was repurposed in 2010 to house the central administrative offices, the district's alternative HS program, and the district's home school assistance program. Four facilities were initially built between 1959 and 1968. Each has had several additions over the years. Five school sites were built between 1995 and 2010 and have also had several additions and/or renovations. Two new intermediate buildings were opened in the Fall of 2020 to serve fifth and sixth grade students. In addition to school sites, the district has a Transportation and Operations & Maintenance facility that was completed in 2010 and an Aquatic Center that opened in 2013. A new administration building was opened in the fall of 2024.

The financial solvency ratio of the District measures movement and distribution of current assets. The financial solvency ratio represents a school district's year-end position after payment of all current and outstanding or accrued liabilities. Iowa Association of School Boards recommends a target solvency ratio within a range of 7% to 17%. Since fiscal year 2010 up until fiscal year 2022 the District has maintained a solvency ratio within this defined range. The current solvency ratio is 9.50%, which is an increase from 6.31% during 2023-24. This increase is in part due to finalizing year 2 of budget reductions to bring out budget and spend back in line to hit our key performance indicators and to maintain fiscal health.

State revenues make up over fifty percent of the District's general fund budget. The State set the supplemental state aid growth rate at 2.00% for the 2026 fiscal year. Future supplemental state aid beyond fiscal year 2026 is not known. Even through the pandemic the State of Iowa has reported strong state dollar surpluses, so the District is hopeful funding for schools will be adequate. The District will thoughtfully plan its budget in order to regain a solvency ratio and unspent balance ratio that is within the target range of 7% to 17%.

District Major Initiative and Achievements

The staff, board, students, and community members are to be commended for the 2024-2025 school year. Some of the many accomplishments for the year include:

- The District continues to outperform state and local averages in many areas of the Iowa School Performance Profile.
 - ELA Cohorts- 3rd and 5th-8th saw the largest increase of students proficient from the year before (2-10%)
 - The percentage of students proficient in Science improved in each grade 5th, 8th, and 10th from the spring of 2024.
 - Math- 3rd, 4th, 6th, and 7th grades all had more than 80% of students proficient in mathematics.

- The District was recognized for its continued excellence in financial reporting with the receipt of the District's twenty-third consecutive Certificate of Excellence in Financial Reporting award for the 2023-2024 Annual Comprehensive Financial Report (ACFR).

All of the dedicated work that went into these initiatives and achievements had one main focus: supporting the learning of the District's students. For the 2024-2025 school year, the students, as a group, continued to perform at a high level. The following are a few indicators:

- The number of AP exams taken by Linn-Mar students in 2025 (748) is a record high.
- The percentage of Linn-Mar students earning a 3 or higher on AP Tests in 2025 (92.12%) is a record high. The statewide percentage of those earning a 3 or higher in 2024 was 66%, the global percentage is 60%.
- The Class of 2025 had 5 National Merit Finalists.
- Linn-Mar's graduation rate was 94.66%
- Linn-Mar students continue to score higher than both the state and national averages of students that complete the ACT assessment. The 24-25 Linn-Mar Community School District composite ACT score was 23.4 with 376 students taking the assessments.

Financial Information

Management of the District is responsible for establishing and maintaining an internal control structure designed to ensure that the assets of the District are protected from loss, theft, or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of financial statements in conformity with generally accepted accounting principles. The internal control structure is designed to provide reasonable, but not absolute, assurance that these objectives are met. The concept of reasonable assurance recognizes that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management. All internal accounting controls adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual budget approved by the District's governing body. Activities of the General Fund, Special Revenue Funds, Enterprise Fund, Debt Service Fund and Capital Projects Fund are included in the annual budget. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the budgeted amount) is established by function and encompasses all fund types. To facilitate the monitoring of the legal provisions, and to provide more complete information to interested parties the District prepares a more detailed budget for each fund. The following information reflects the comprehensive budget for these individual funds rather than demonstrating compliance at the legal level. The District also maintains an encumbrance accounting system as one technique of accomplishing budgetary control.

Independent Audit

State law and District policy require an annual audit to be made of the books of account, financial records and transactions of all funds of the District by a Certified Public Accountant selected by the Board of Directors of the District. The District has complied with this requirement. The report of the District's independent accountants, Bohnsack & Frommelt, LLP, appears in this report. Their audit of the basic financial statements was performed in accordance with auditing standards generally accepted in the United State of America and, accordingly, included a review of the District's system of budgetary and accounting controls.

Certificate of Excellence in Financial Reporting

The Association of School Business Officials International (ASBO), awards a Certificate of Excellence in Financial Reporting. This certificate is a prestigious national award recognizing conformance with the highest standards for preparation of government financial reports.

In order to be eligible to receive the Certificate, a governmental unit must publish an easily readable and efficiently organized Annual Comprehensive Financial Report, (ACFR) whose contents conform to program standards. Such ACFR must satisfy both Generally Accepted Accounting Principles and applicable legal requirements.

This Certificate is valid for a period of one year only. The District believes that the current ACFR conforms to the requirements for the Certificate of Excellence and therefore, is submitting to ASBO to determine its eligibility for the Certificate.

Acknowledgements

The publication of this report is a major step toward the commitment to professionalism in financial reporting and significantly increases the accountability of the District to the taxpayers. This would not have been possible without the help of several people. We would like to express our appreciation to all District, City and County employees who assisted in the preparation of this report.

Finally, sincere appreciation is extended to the Board of Education, where commitment to excellence begins. It is with great pleasure that this year's Annual Comprehensive Financial Report is submitted to the Board of Education.



Jonathan Galbraith
Chief Financial Officer
Chief Operating Officer



Amy Kortemeyer
Superintendent of Schools



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Linn Mar Community School District
for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2024.

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

Ryan S. Stechschulte
President

A handwritten signature in black ink, reading 'James M. Rowan'.

James M. Rowan, CAE, SFO
CEO/Executive Director

Linn-Mar Community School District



Board of Directors

**Superintendent -
Amy Kortemeyer**

**Bob Read -
Associate
Superintendent
Elementary Level**

**Director of
Elementary
Teaching & Learning**

**Elementary
Principals,
School Facilitators,
and Staff**

**Teacher Leadership
Staff**

**Nathan Wear -
Associate
Superintendent
Secondary Level**

**Director of
Middle School
Teaching & Learning**

**Director of
High School
Teaching & Learning**

**Secondary
Principals, Associate
Principals,
and Staff**

**English Language
Learners Staff**

Athletic Directors

**Aquatics Center
Manager & Staff**

**Melissa Frick -
Exec Director of
Student Services**

**Associate
Directors of
Student Services**

**Student Assistance
Staff**

**Success Center
Staff**

**Early Childhood
Staff**

Nursing Staff

**Karla Christian -
Chief Officer of
Human Resources**

**Human Resources
Staff**

**Communications &
Media Staff**

**Community
Services
Coordinator**

**Jeri Ramos -
Chief Technology
Officer**

**Technology
Services Staff**

**Jonathan Galbraith -
Chief Financial &
Operating Officer**

**Business Services
Manager & Staff**

**Payroll/Benefits
Manager & Staff**

**Nutrition Services
Manager & Staff**

**Operations &
Maintenance
Manager & Staff**

**Transportation
Manager & Staff**

2023-24 Organizational Chart

Linn-Mar Community School District

Board of Education and School District Officials
Year Ended June 30, 2025

Name	Title	Term Expires
Board of Education		
Katie Lowe Lancaster	President	2027
Barry Buchholz	Vice President	2027
Justin Foss	Board Member	2027
Midhat Mansoor	Board Member	2025
Brittania Morey	Board Member	2027
Laura Thomas	Board Member	2025
Melissa Walker	Board Member	2025
School District Officials		
Amy Kortemeyer	Superintendent	2025
Jon Galbraith	Chief Operating Officer/ Chief Financial Officer	2025
Terry Abernathy	Attorney	Indefinite
Simmons, Perrine, Moyer & Bergman, P.C.	Attorney	Indefinite
Ahlers & Cooney, P.C.	Attorney	Indefinite
Lynch Dallas	Attorney	Indefinite



Independent Auditor's Report

To the Board of Education
Linn-Mar Community School District
Marion, Iowa

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Linn-Mar Community School District as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the Linn-Mar Community School District, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Linn-Mar Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 15 to the financial statements, the District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*. As a result, June 30, 2024 governmental activities and business-type activities net position were restated.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Linn-Mar Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Linn-Mar Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Linn-Mar Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-15 and 55-64 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context.

We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements.

We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Linn-Mar Community School District's basic financial statements. The supplementary information, as listed in the table of contents, is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 11, 2025, on our consideration of the Linn-Mar Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Linn-Mar Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Linn-Mar Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
November 11, 2025



Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Linn-Mar Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2025. We encourage readers to consider this information in conjunction with the District's financial statements, which follow:

2024-25 Financial Highlights

- The District's net position for governmental activities was \$96,912,441 at June 30, 2025, compared to restated \$82,024,288 at June 30, 2024. This is an increase of \$14,888,153 or 18.15 percent.
- The District's net position for business-type activities was \$2,755,186 at June 30, 2025 compared to restated \$3,088,992 at June 30, 2024, a decrease of \$333,806 or 10.81 percent.
- At the end of fiscal year 2025, the total of assigned and unassigned fund balances in the General Fund was \$9,853,085 or 9.52 percent of total General Fund revenues (excluding AEA flowthrough) compared to prior year's total balance of \$6,386,751 or 6.10 percent of total General Fund revenues.
- The District's long-term obligations decreased \$9,224,552.

Using this Annual Report

The annual report consists of a series of financial statements and other information, as follows:

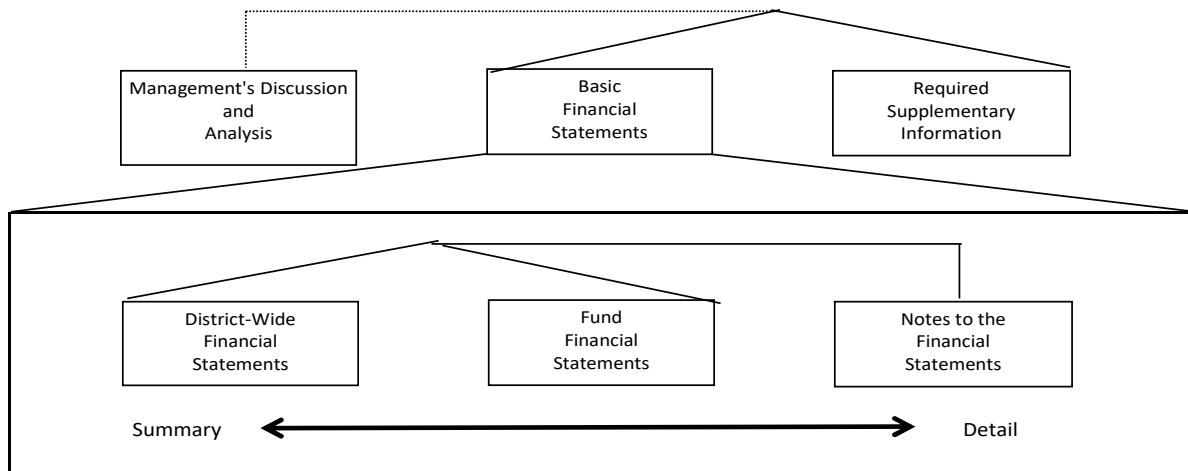
- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Linn-Mar Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report the District's operations in more detail than the government-wide statements by providing information about the most significant funds.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year and information regarding the District's retiree health plan and pension plan.
- Other supplementary information provides detailed information about the nonmajor governmental funds and nonmajor enterprise funds.

Linn-Mar Community School District

**Management's Discussion and Analysis
Year Ended June 30, 2025**

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Linn-Mar Community School District



Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Reporting the District's Financial Activity

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets and deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or position.

- Over time, increases or decreases in the District's net position are an indicator of whether its financial position is improving or deteriorating, respectively.
- To assess the District's overall health, you need to consider additional non-financial factors such as changes in the District's property tax base and condition of school buildings and other facilities.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's food service program, aquatic center and ROAR store activities would be included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes, (such as repaying its long-term debts) or to show that it is properly using certain revenues, (such as federal grants).

The District has two kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the Government-wide statements, additional information in the notes to financial statements explains the relationship (or differences) between them.
- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the Government-wide financial statements. The District's Enterprise Funds (one type of proprietary fund) are the same as its business-type activities but provides more detail and additional information, such as cash flows.

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Government-Wide Financial Analysis

Net position is an indicator of the fiscal health of the District. The District's net position increased by 17 percent, increasing from a restated net position of \$85,113,280 at June 30, 2024, to \$99,667,627 at June 30, 2025. Figure A-3 below provides a summary of the District's net position as of June 30, 2025 compared to June 30, 2024.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated		Restated		Restated		
	2025	2024	2025	2024	2025	2024	2024-25
Current and other assets	\$ 105,870,413	\$ 109,727,094	\$ 3,461,183	\$ 3,664,823	\$ 109,331,596	\$ 113,391,917	-4%
Capital assets	229,266,777	211,212,209	591,446	707,887	229,858,223	211,920,096	8%
Total assets	335,137,190	320,939,303	4,052,629	4,372,710	339,189,819	325,312,013	4%
Deferred outflows of resources	10,207,125	14,510,743	273,821	395,148	10,480,946	14,905,891	-30%
Long-term obligations	176,562,289	185,569,758	1,229,619	1,446,702	177,791,908	187,016,460	-5%
Other liabilities	19,374,869	17,541,977	266,038	181,870	19,640,907	17,723,847	11%
Total liabilities	195,937,158	203,111,735	1,495,657	1,628,572	197,432,815	204,740,307	-4%
Deferred inflows of resources	52,494,716	50,314,023	75,607	50,294	52,570,323	50,364,317	4%
Net position:							
Net investment in capital assets	102,505,104	97,922,225	591,446	707,887	103,096,550	98,630,112	5%
Restricted	24,145,990	20,612,776	-	-	24,145,990	20,612,776	17%
Unrestricted	(29,738,653)	(36,510,713)	2,163,740	2,381,105	(27,574,913)	(34,129,608)	19%
Total net position	\$ 96,912,441	\$ 82,024,288	\$ 2,755,186	\$ 3,088,992	\$ 99,667,627	\$ 85,113,280	17%

Net investment in capital assets, such as land, buildings, machinery and equipment, less any outstanding debt used to acquire those assets is \$103,096,550. These assets are considered non-spendable since they represent capital assets used to provide services to students. The resources needed to pay the obligations from the debt related to these assets must be provided from other resources. \$24,145,990 of net position has some external restrictions on how the funds may be used. The deficit remaining balance of (\$27,574,913) represents unrestricted net position. Unrestricted net position remains at a deficit net position due to the District's net pension liability and other postemployment benefit liability.

As mentioned before, restricted net position represents resources that are subject to external restrictions such as enabling legislation or constitutional provisions. The District's restricted net position increased \$3,533,214 or 17 percent from the prior year. The increase is due to District issuing revenue bonds in the current year. Unspent bond proceeds as of June 30, 2025 were \$5,826,894.

Unrestricted net position represents the assets that can be used to finance day-to-day operations without constraints established by debt restrictions, enabling legislation or other legal binding requirements. Unrestricted net position increased \$6,554,695 or 19%.

The District implemented Governmental Accounting Standards Board Statement No. 101, *Compensated Absences* which required a restatement to June 30, 2024 net position of \$15,497,825 and \$372,621 of governmental activities and business-type activities, respectively.

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

The following figure shows changes in net position for the year ended June 30, 2025, compared to the year ended June 30, 2024.

Figure A-4 Changes in Net Position From Operating Results

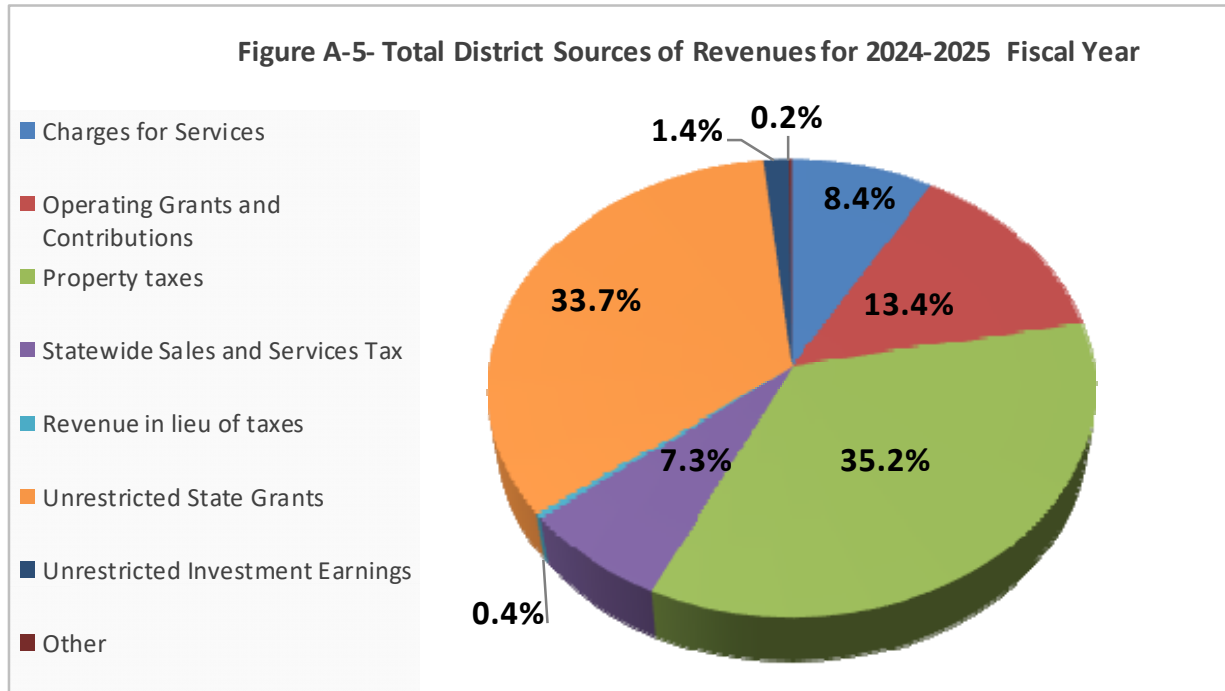
	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Not Restated		Not Restated		Not Restated		
	2025	2024	2025	2024	2025	2024	2024-25
Revenues:							
Program revenues:							
Charges for services	\$ 8,795,280	\$ 8,936,819	\$ 2,693,523	\$ 2,582,519	\$ 11,488,803	\$ 11,519,338	-0.3%
Operating grants, contributions and restricted interest	16,679,952	16,799,747	1,678,447	1,838,796	18,358,399	18,638,543	-1.5%
Capital grants, contributions and restricted interest	-	-	-	-	-	-	0.0%
General revenues:							
Property taxes	48,174,206	45,409,602	-	-	48,174,206	45,409,602	6.1%
Revenue in lieu of taxes	505,783	497,309	-	-	505,783	497,309	1.7%
Statewide sales and services tax	10,008,279	10,124,583	-	-	10,008,279	10,124,583	-1.1%
Unrestricted state grants	46,222,210	45,227,773	-	-	46,222,210	45,227,773	2.2%
Unrestricted investment earnings	1,861,279	2,044,393	122,110	97,107	1,983,389	2,141,500	-7.4%
Gain on sale of capital assets	3,238	40,297	-	-	3,238	40,297	-92.0%
Other	240,304	1,039,312	-	-	240,304	1,039,312	-76.9%
Total revenues	132,490,531	130,119,835	4,494,080	4,518,422	136,984,611	134,638,257	1.7%
Expenses:							
Instruction	71,665,693	71,398,406	-	-	71,665,693	71,398,406	0.4%
Support services	31,759,483	33,580,524	449,665	405,877	32,209,148	33,986,401	-5.2%
Noninstructional programs	145,027	102,175	4,336,028	4,035,142	4,481,055	4,137,317	8.3%
Other	14,032,175	14,845,791	42,193	44,334	14,074,368	14,890,125	-5.5%
Total expenses	117,602,378	119,926,896	4,827,886	4,485,353	122,430,264	124,412,249	-1.6%
Change in net position	14,888,153	10,192,939	(333,806)	33,069	14,554,347	10,226,008	42.3%
Net position, beginning, as restated	82,024,288	87,329,174	3,088,992	3,428,544	85,113,280	90,757,718	
Net position, ending	\$ 96,912,441	\$ 97,522,113	\$ 2,755,186	\$ 3,461,613	\$ 99,667,627	\$ 100,983,726	

During fiscal year 2025, property tax, excise taxes, revenue in lieu of taxes, statewide sales and services tax, and unrestricted state grants accounted for 79.2 percent of governmental activities revenue while charges for service, operating grants, contributions and restricted interest and investment earnings accounted for all of business type activities revenue.

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

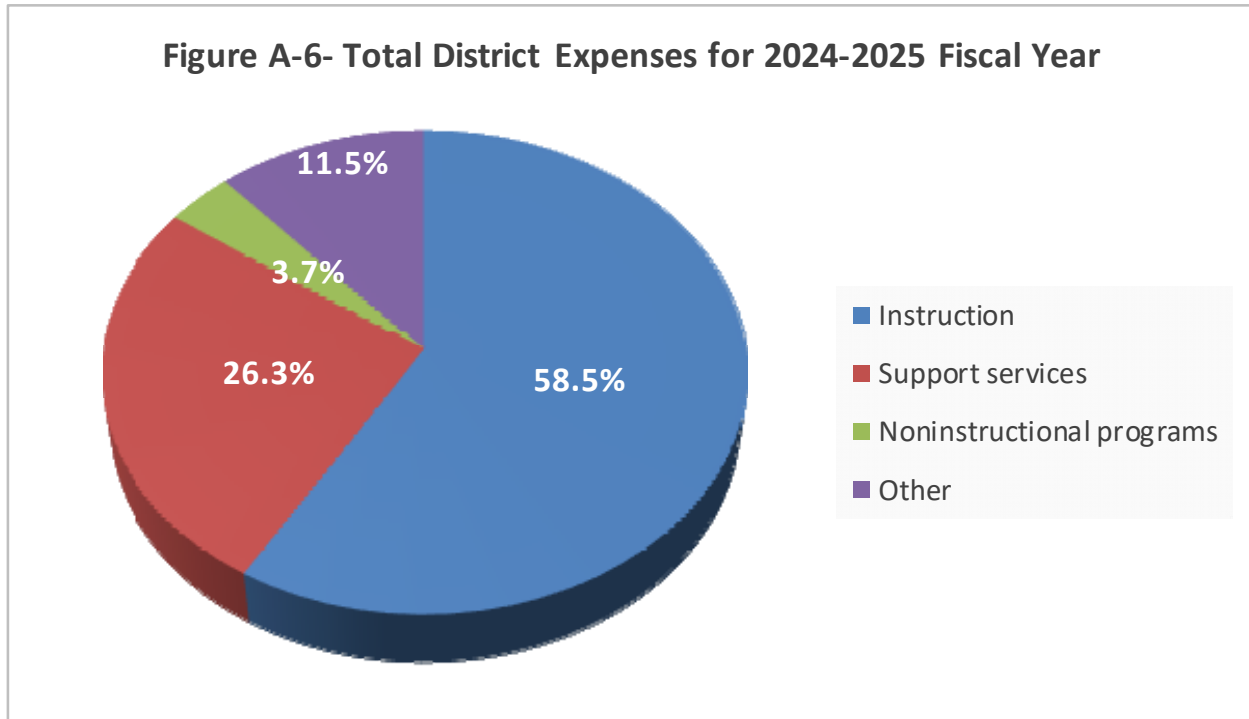
The District as a whole experienced a 1.7 percent increase in revenue while experiencing a 1.6 percent decrease in expenses. The District's total revenue was \$136,984,611 of which \$132,490,531 was for governmental activities, while the remaining \$4,494,080 was for business-type activities. Property taxes and unrestricted state grants account for most of the District's revenue, with each contributing approximately 35 and 33 percent of the total revenue, respectively. (See figure A-5).



Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

The total cost for all programs and services decreased 1.6 percent to \$122,430,264. The District's total expenses are listed in Figure A-6. The chart shows that the majority of the District's expenses (85 percent) are devoted to instruction and support services.



Governmental Activities

Revenues for the District's governmental activities increased \$2,370,696 or 1.8 percent, while expenses decreased \$2,324,518 or 1.9 percent. The increase in revenues can be attributed to the increase in general revenue sources due to increased assessed valuation, and supplemental state aid of 2.5 percent.

The decrease in expenditures is due to a decrease in the net pension expense from a reduction in the net pension liability due to improvement in investment income of the state pension plan.

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Figure A-7 presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2025 compared to the year ended June 30, 2024.

Figure A-7 Net Cost of Governmental Activities

	Total Cost of Services		Percentage	Net Cost of Services		Percentage
	2025	2024	Change 2024-25	2025	2024	Change 2024-25
Instruction	\$ 71,665,693	\$ 71,398,406	0.4%	\$ 49,977,465	\$ 50,015,192	-0.1%
Support services	31,759,483	33,580,524	-5.4%	31,052,309	33,120,855	-6.2%
Non-instructional	145,027	102,175	41.9%	145,027	102,175	41.9%
Other	14,032,175	14,845,791	-5.5%	10,952,345	10,952,108	0.0%
Total	\$ 117,602,378	\$ 119,926,896	-1.9%	\$ 92,127,146	\$ 94,190,330	-2.2%

For the year ended June 30, 2025:

- The cost financed of all governmental activities this year was \$117,602,678.
- The cost financed by users of the District's programs was \$8,795,280.
- Federal and state governments subsidized certain programs with grants and contributions as well as contributions from local sources totaling approximately \$16,679,952.
- The net cost of governmental activities was financed with \$48,174,206 in property tax, \$505,783 revenue in lieu of taxes, \$10,008,279 in statewide sales, services and use tax, \$46,222,210 in unrestricted state grants and \$2,104,821 in unrestricted interest, gain on sale of capital assets and other income.

Business-Type Activities

Revenues of the District's business type activities decreased by 0.5 percent to \$4,494,080 while expenses increased by 7.6 percent to \$4,827,886 (Refer to Figure A-4). The School Nutrition Fund, Aquatic Center Fund and ROAR Store Fund are the District's three business-type activities. The revenues in these three funds can be broken down into three main categories; charges for service, federal and state reimbursements and investment income. The decrease in revenue is due to the decrease in federal grants.

The District's business type activities net position decreased from restated \$3,088,992 at June 30, 2024 to \$2,755,186 at June 30, 2025, a decrease of \$333,806 or 10.8 percent.

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Governmental Fund Highlights

At the end of fiscal year 2025, the District's governmental funds reported combined ending fund balances of \$36,641,783, a decrease of \$6,713,978 from the prior year. A closer look at each individual major governmental fund reveals the following:

- The General Fund balance increased from \$7,091,954 on June 30, 2024, to \$10,195,578 on June 30, 2025. General Fund revenues increased from the prior year by \$1,948,516. General Fund expenditures decreased by \$1,179,788. Property tax revenues increased \$1,510,889 due to increased assessed valuation and an increase in tax rates. General Fund expenditures decreased due to \$813,853 reduction in AEA flowthrough and reduction in staffing. The District experienced an increase in fund balance of approximately \$3 million in the prior year.
- The Capital Projects Fund balance increased from \$32,664,955 on June 30, 2024 to \$22,680,820 on June 30, 2025. The decrease in overall Capital Projects Fund balance can be attributed to the \$24,480,960 expended on capital outlay offset by the issuance of \$10,000,000 revenue bonds.
- The Debt Service Fund balance increased from \$542,598 on June 30, 2024, to \$721,121 on June 30, 2025. Principal and interest requirements were approximately \$14.3 million in fiscal year 2025.

Proprietary Fund Highlights

The District's proprietary fund expenses exceeded operating revenues. At the close of fiscal year 2025, expenses exceeded revenues by \$2,134,363. Total operating expenses increased from \$4,485,353 in 2024 to \$4,827,886 in 2025 primarily due to an increase in salaries and benefits and the cost of nutrition program supplies. Operating revenues increased from \$2,582,519 in 2024 to \$2,693,523 in 2025.

Budgetary Highlights

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared according to U.S. Generally Accepted Accounting Principles.

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report. Since the District does not adopt a budget for individual funds, budgets for the General Fund and major Special Revenue Funds are not presented in the budgetary comparison.

The District's total actual revenues were \$2,480,045 more than budgeted revenues, a variance of 1.8 percent from final budgeted amounts due to receiving more in local funding as a result of increases in assessed valuation.

By April 15th of each year, the budget must be adopted by the Board of Directors for the fiscal year beginning July 1 through June 30, which immediately follows. Because there are a number of unknowns at that time, such as State revenue allocations, insurance premiums, negotiated employee contracts, enrollment increase, and construction project invoicing, the District has the ability to amend its budget before May 31st of each year. The District had one amendment which increased budgeted expenditures by \$25,961,633. The District actual expenditures were less than the final amended budget by \$11,795,132.

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Capital Asset Administration

By the end of fiscal year 2025, the District had invested, net of depreciation and amortization, \$229,858,223 in various capital assets including land, buildings, vehicles, equipment, and information technology (See Figure A-8). This amount represents a net increase of \$17,938,127 or 8.5 percent over the previous fiscal year. Additions in the current year were primarily the performing arts center and administration building.

Figure A-8 Capital Assets (Net of Depreciation/Amortization)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	2025	2024	2025	2024	2025	2024	2024-25
Land	\$ 8,499,293	\$ 8,499,293	\$ -	\$ -	\$ 8,499,293	\$ 8,499,293	0.0%
Construction in progress	36,262,688	15,172,661	-	-	36,262,688	15,172,661	139.0%
Buildings	165,180,755	168,685,772	-	-	165,180,755	168,685,772	-2.1%
Land improvements	11,901,638	13,272,813	-	-	11,901,638	13,272,813	-10.3%
Machinery and equipment	6,589,177	4,485,629	588,968	702,104	7,178,145	5,187,733	38.4%
Intangible right-to-use lease building	196,992	236,390	-	-	196,992	236,390	-16.7%
Intangible right-to-use lease equipment	531,410	667,089	-	-	531,410	667,089	-20.3%
Intangible right-to-use IT subscription	104,824	192,562	2,478	5,783	107,302	198,345	-45.9%
Total	\$ 229,266,777	\$ 211,212,209	\$ 591,446	\$ 707,887	\$ 229,858,223	\$ 211,920,096	8.5%

More detailed information on capital asset activity can be found in Note 5 to the basic financial statements.

Long-Term Liabilities

At year end, the District had \$177,791,908 in long-term obligations, a decrease of \$9,224,552 from the previous fiscal year. \$20,720,339 of the District's long-term debt is due within one year.

Figure A-9 Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated		Restated		Restated		2024-25
	2025	2024	2025	2024	2025	2024	
General obligation bonds	\$ 57,425,000	\$ 60,695,000	\$ -	\$ -	\$ 57,425,000	\$ 60,695,000	-5.4%
Revenue bonds	66,175,000	61,280,000	-	-	66,175,000	61,280,000	8.0%
Capital loan notes	-	1,210,000	-	-	-	1,210,000	-100.0%
Bond premiums, net of amortization	5,050,742	5,504,847	-	-	5,050,742	5,504,847	-8.2%
IT subscription obligation	-	-	-	3,304	-	3,304	100.0%
Lease obligation	752,938	925,193	-	-	752,938	925,193	-18.6%
Compensated absences	15,819,372	15,606,651	396,338	372,621	16,215,710	15,979,272	1.5%
Termination benefits	387,500	1,107,500	-	-	387,500	1,107,500	100.0%
Net pension liability	26,306,351	34,329,233	707,770	938,111	27,014,121	35,267,344	-23.4%
Net OPEB liability	4,645,386	4,911,334	125,511	132,666	4,770,897	5,044,000	-5.4%
Total	\$ 176,562,289	\$ 185,569,758	\$ 1,229,619	\$ 1,446,702	\$ 177,791,908	\$ 187,016,460	-4.9%

More detailed information on the District's long-term liabilities can be found in Note 6 to the basic financial statements.

Linn-Mar Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of the following existing circumstances that could significantly affect its financial health in the future:

- On October 1, 2025, the District experienced a certified student enrollment decrease of approximately 45 students. The number of Educational Savings Accounts (ESAs) fund this year for resident students is 636.
- A nationwide labor shortage has made it increasingly difficult to retain and recruit qualified staff. Due to the low level of increases in state funding, it has been increasingly difficult to fund salaries and benefits at a level that matches the current rate of inflation.
- Because of the current state of inflation, the cost of goods and services are on the rise and will have a significant impact on our future budgets.

Contacting the District's Financial Management

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact the office of the Business Administrator, Linn-Mar Community School District, 2999 10th Street, Marion, Iowa 52302.

BASIC FINANCIAL STATEMENTS



Linn-Mar Community School District

Statement of Net Position

June 30, 2025

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	\$ 47,133,893	\$ 3,448,054	\$ 50,581,947
Restricted cash and pooled investments	3,494,591	-	3,494,591
Receivables:			
Property tax:			
Delinquent	172,199	-	172,199
Succeeding year	49,638,806	-	49,638,806
Due from other governments	5,039,083	-	5,039,083
Accounts	346,743	159	346,902
Prepaid expenses	701	-	701
Leases	44,397	-	44,397
Inventories	-	12,970	12,970
Capital assets:			
Nondepreciable/not amortized	44,761,981	-	44,761,981
Depreciable/amortized, net	184,504,796	591,446	185,096,242
Total assets	335,137,190	4,052,629	339,189,819
Deferred outflows of resources:			
OPEB related deferred outflows	1,228,355	32,248	1,260,603
Pension related deferred outflows	8,978,770	241,573	9,220,343
Total deferred outflows of resources	10,207,125	273,821	10,480,946

See Notes to Basic Financial Statements.

Liabilities

Accounts payable	8,804,729	58,950	8,863,679
Salaries and benefits payable	10,229,892	94,872	10,324,764
Accrued interest payable	340,248	-	340,248
Unearned revenue	-	112,216	112,216
Long-term liabilities:			
Portion due within one year:			
General obligation bonds payable	3,430,000	-	3,430,000
Revenue bonds payable	5,705,000	-	5,705,000
Lease obligations	173,313	-	173,313
Termination benefits	387,500	-	387,500
Compensated absences payable	10,598,980	265,546	10,864,526
Total OPEB liability	155,808	4,192	160,000
Portion due after one year:			
General obligation bonds payable, net premiums	56,905,524	-	56,905,524
Revenue bonds payable	62,610,218	-	62,610,218
Lease obligations	579,625	-	579,625
Net pension liability	26,306,351	707,770	27,014,121
Compensated absences payable	5,220,392	130,792	5,351,184
Total OPEB liability	4,489,578	121,319	4,610,897
Total liabilities	195,937,158	1,495,657	197,432,815

Deferred inflows of resources:

Succeeding year property tax	49,638,806	-	49,638,806
Leases	44,397	-	44,397
OPEB related deferred inflows	1,439,527	38,689	1,478,216
Pension related deferred inflows	1,371,986	36,918	1,408,904
Total deferred inflows of resources	52,494,716	75,607	52,570,323

Net Position

Net investment in capital assets	102,505,104	591,446	103,096,550
Restricted for:			
Categorical funding	341,792	-	341,792
Debt service	721,121	-	721,121
School infrastructure	13,840,405	-	13,840,405
Physical plant and equipment levy	6,198,408	-	6,198,408
Management levy	1,753,558	-	1,753,558
Student activities	1,000,716	-	1,000,716
Public education and recreation levy	289,990	-	289,990
Unrestricted	(29,738,653)	2,163,740	(27,574,913)
Total net position	\$ 96,912,441	\$ 2,755,186	\$ 99,667,627

Linn-Mar Community School District

Statement of Activities
Year Ended June 30, 2025

Functions/Programs	Expenses	Program Revenues	
		Charges for Services	Operating Grants and Contributions
Governmental activities:			
Instruction	\$ 71,665,693	\$ 8,261,701	\$ 13,426,527
Support services:			
Student services	3,838,062	158	-
Instructional staff	5,893,457	53,967	-
Administration services	8,453,411	322,022	-
Operation and maintenance of plant services	8,621,705	132,250	-
Student transportation	4,952,848	25,182	173,595
Total support services	31,759,483	533,579	173,595
Non-instructional programs:			
Food service operations	100,019	-	-
Community service operations	45,008	-	-
Total non-instructional programs	145,027	-	-
Long-term debt interest	4,307,758	-	-
Other expenses:			
AEA flowthrough	3,079,830	-	3,079,830
Depreciation (unallocated)*	6,644,587	-	-
Total other expenses	9,724,417	-	3,079,830
Total governmental activities	117,602,378	8,795,280	16,679,952
Business-type activities:			
School nutrition	4,336,028	2,232,863	1,678,447
Aquatic center	449,665	419,091	-
ROAR store	42,193	41,569	-
Total business-type activities	4,827,886	2,693,523	1,678,447
Total	\$ 122,430,264	\$ 11,488,803	\$ 18,358,399

General revenues:

Property tax levied for:

 General purposes

 Capital outlay

 Debt service

Excise taxes

Other taxes

Revenue in lieu of taxes

Statewide sales and services tax

Unrestricted state grants

Unrestricted investment earnings

Gain on sale of capital assets

Total general revenues

Change in net position

Net position, beginning of year, as restated

Net position, end of year

* This amount excludes the depreciation included in the direct expenses of the various programs.
See Notes to Basic Financial Statements.

Net (Expense) Revenue and Changes in Net Position				
Capital Grants and Contributions		Governmental Activities	Business-Type Activities	Total
\$	-	\$ (49,977,465)	\$	- \$ (49,977,465)
	-	(3,837,904)	-	(3,837,904)
	-	(5,839,490)	-	(5,839,490)
	-	(8,131,389)	-	(8,131,389)
	-	(8,489,455)	-	(8,489,455)
	-	(4,754,071)	-	(4,754,071)
	-	(31,052,309)	-	(31,052,309)
	-	(100,019)	-	(100,019)
	-	(45,008)	-	(45,008)
	-	(145,027)	-	(145,027)
	-	(4,307,758)	-	(4,307,758)
	-	-	-	-
	-	(6,644,587)	-	(6,644,587)
	-	(6,644,587)	-	(6,644,587)
	-	(92,127,146)	-	(92,127,146)
	-	-	(424,718)	(424,718)
	-	-	(30,574)	(30,574)
	-	-	(624)	(624)
	-	-	(455,916)	(455,916)
\$	-	\$ (92,127,146)	\$ (455,916)	\$ (92,583,062)

38,177,133	-	38,177,133
4,586,216	-	4,586,216
5,410,857	-	5,410,857
154,721	-	154,721
85,583	-	85,583
505,783	-	505,783
10,008,279	-	10,008,279
46,222,210	-	46,222,210
1,861,279	122,110	1,983,389
3,238	-	3,238
107,015,299	122,110	107,137,409
14,888,153	(333,806)	14,554,347
82,024,288	3,088,992	85,113,280
\$ 96,912,441	\$ 2,755,186	\$ 99,667,627

Linn-Mar Community School District

**Balance Sheet
Governmental Funds
June 30, 2025**

	General	Capital Projects	Debt Service	Nonmajor	Total
Assets					
Cash and pooled investments	\$ 22,043,782	\$ 21,305,119	\$ 702,905	\$ 3,082,087	\$ 47,133,893
Restricted cash and pooled investments	-	3,494,591	-	-	3,494,591
Receivables:					
Property tax:					
Delinquent	126,161	16,457	19,416	10,165	172,199
Succeeding year	36,882,865	4,759,186	4,928,892	3,067,863	49,638,806
Due from other governments	3,989,510	1,049,540	-	33	5,039,083
Due from other funds	55,000	-	-	-	55,000
Accounts	249,673	-	-	97,070	346,743
Prepaid items	701	-	-	-	701
Leases	44,397	-	-	-	44,397
Total assets	\$ 63,392,089	\$ 30,624,893	\$ 5,651,213	\$ 6,257,218	\$ 105,925,413
Liabilities, Deferred Inflows of Resources and Fund Balances					
Liabilities:					
Accounts payable	\$ 5,560,857	\$ 3,184,887	\$ 1,200	\$ 57,785	\$ 8,804,729
Salaries and benefits payable	10,197,586	-	-	32,306	10,229,892
Due to other funds	-	-	-	55,000	55,000
Total liabilities	15,758,443	3,184,887	1,200	145,091	19,089,621
Deferred inflows of resources:					
Grants	510,806	-	-	-	510,806
Succeeding year property tax	36,882,865	4,759,186	4,928,892	3,067,863	49,638,806
Leases	44,397	-	-	-	44,397
Total deferred inflows of resources	37,438,068	4,759,186	4,928,892	3,067,863	50,194,009
Fund balances:					
Nonspendable	701	-	-	-	701
Restricted for:					
Categorical funding	341,792	-	-	-	341,792
Debt service	-	2,636,500	721,121	-	3,357,621
School infrastructure	-	14,371,784	-	-	14,371,784
Physical plant and equipment levy	-	5,672,536	-	-	5,672,536
Management levy	-	-	-	1,753,558	1,753,558
Student activities	-	-	-	1,000,716	1,000,716
Public education and recreation levy	-	-	-	289,990	289,990
Assigned for specific purposes	574,165	-	-	-	574,165
Unassigned	9,278,920	-	-	-	9,278,920
Total fund balance	10,195,578	22,680,820	721,121	3,044,264	36,641,783
Total liabilities, deferred inflows of resources, and fund balances	\$ 63,392,089	\$ 30,624,893	\$ 5,651,213	\$ 6,257,218	\$ 105,925,413

See Notes to Basic Financial Statements.

Linn-Mar Community School District

**Reconciliation of the Balance Sheet -
Governmental Funds to the Statement of Net Position
June 30, 2025**

Total fund balances of governmental funds \$ 36,641,783

Amounts reported for governmental activities in the Statement of Net Position
are different because:

Capital assets used in governmental activities are not
financial resources and, therefore are not reported as
assets in the governmental funds. 229,266,777

Other long-term assets are not available to pay for current period
expenditures and, therefore, are unavailable in the funds. 510,806

Accrued interest payable on long-term liabilities is not due and
payable in the current year and, therefore, is not reported as a
liability in the governmental funds. (340,248)

Pension and OPEB related deferred outflows of resources and deferred
inflows of resources are not due and payable in the current
year and, therefore, are not reported in the governmental
funds as follows:

Deferred inflows of resources related to OPEB	(1,439,527)	
Deferred outflows of resources related to OPEB	1,228,355	
Deferred outflows of resources related to pension	8,978,770	
Deferred inflows of resources related to pension	<u>(1,371,986)</u>	7,395,612

Long-term liabilities, including bonds payable and compensated
absences, are not due and payable in the current period, and,
therefore, are not reported as liabilities in the governmental funds.

General obligation bonds payable	(57,425,000)	
Revenue bonds payable	(66,175,000)	
Unamortized bond premiums	(5,050,742)	
Lease liability	(752,938)	
Termination benefits	(387,500)	
Compensated absences	(15,819,372)	
Net pension liability	(26,306,351)	
Total OPEB liability	<u>(4,645,386)</u>	(176,562,289)
Net position of governmental activities		<u><u>\$ 96,912,441</u></u>

See Notes to Basic Financial Statements.

Linn-Mar Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2025**

	General	Capital Projects	Debt Service	Nonmajor	Total
Revenues:					
Local sources:					
Property tax	\$ 35,330,694	\$ 4,586,216	\$ 5,410,857	\$ 2,846,439	\$ 48,174,206
Utility excise tax	110,566	15,639	18,451	10,065	154,721
Other tax	61,158	8,652	10,206	5,567	85,583
Tuition	5,728,232	-	-	-	5,728,232
Other	1,962,955	1,492,271	157,610	1,315,491	4,928,327
State sources	60,470,484	10,055,222	55,383	30,213	70,611,302
Federal sources	2,992,012	-	-	-	2,992,012
Total revenues	106,656,101	16,158,000	5,652,507	4,207,775	132,674,383
Expenditures:					
Current:					
Instruction	69,958,342	1,160,777	-	2,077,414	73,196,533
Support services:					
Student services	3,928,307	-	-	59,407	3,987,714
Instructional staff services	6,038,906	22,742	-	57,172	6,118,820
Administration services	9,073,012	164,415	-	187,119	9,424,546
Operation and maintenance of plant services	8,493,743	138,622	-	1,433,789	10,066,154
Student transportation	2,983,575	1,147,187	-	252,062	4,382,824
Total support services	30,517,543	1,472,966	-	1,989,549	33,980,058
Non-instructional programs					
Food service	-	-	-	101,592	101,592
Community service	-	-	-	45,008	45,008
Total non-instructional	-	-	-	146,600	146,600
Other expenditures:					
Capital outlay	-	24,480,960	-	6,202	24,487,162
AEA flowthrough	3,079,830	-	-	-	3,079,830
Debt service:					
Principal	-	-	9,757,255	-	9,757,255
Interest and fiscal charges	-	228,887	4,585,355	-	4,814,242
Total other	3,079,830	24,709,847	14,342,610	6,202	42,138,489
Total expenditures	103,555,715	27,343,590	14,342,610	4,219,765	149,461,680
Excess (deficiency) of revenues over (under) expenditures	3,100,386	(11,185,590)	(8,690,103)	(11,990)	(16,787,297)
Other financing sources (uses):					
Proceeds from sale of equipment	3,238	-	-	-	3,238
Issuance of long-term debt	-	10,000,000	-	-	10,000,000
Premium on issuance of long-term debt	-	70,081	-	-	70,081
Interfund transfers in	-	-	8,868,626	-	8,868,626
Interfund transfers (out)	-	(8,868,626)	-	-	(8,868,626)
Total other financing sources (uses)	3,238	1,201,455	8,868,626	-	10,073,319
Net change in fund balance	3,103,624	(9,984,135)	178,523	(11,990)	(6,713,978)
Fund balances, beginning of year	7,091,954	32,664,955	542,598	3,056,254	43,355,761
Fund balances, end of year	\$ 10,195,578	\$ 22,680,820	\$ 721,121	\$ 3,044,264	\$ 36,641,783

See Notes to Basic Financial Statements.

Linn-Mar Community School District

**Reconciliation of the Statement of Revenues, Expenditures and Changes in
Fund Balances - Governmental Funds to the Statement of Activities
Year Ended June 30, 2025**

Net change in fund balances - total governmental funds	\$ (6,713,978)
--	----------------

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Activities and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. Capital outlay expenditures and depreciation expense in the year are as follows:

Capital outlay	26,000,297	
Depreciation and amortization expense	<u>(7,945,729)</u>	18,054,568
Proceeds from sale of capital assets		(3,238)
Gain on sale of capital assets		3,238

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds:

Grants	(187,090)
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Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the Statement of Net Position. Repayments of long-term debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position.

Current year items are as follows:

Principal repayments	9,585,000	
Issuance of long-term debt	(10,000,000)	
Premium on issuance of long-term debt	(70,081)	
Amortization of premiums	524,186	
Lease repayments	<u>172,255</u>	211,360

Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the governmental funds when due. In the Statement of Activities, interest expense is recognized as the interest accrues, regardless of when it is due.

(17,702)

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.

Change in compensated absences	(212,721)	
Change in termination benefits	720,000	
Change in pension expense and related deferrals	3,195,577	
Change in OPEB expense and related deferrals	<u>(161,861)</u>	3,540,995

Change in net position of governmental activities

<u>\$ 14,888,153</u>

See Notes to Basic Financial Statements.

Linn-Mar Community School District

Statement of Net Position

Proprietary Funds

June 30, 2025

	Business-Type Activities Nonmajor Enterprise Funds
Assets	
Current:	
Cash and cash equivalents	\$ 3,448,054
Accounts receivable	159
Inventories	12,970
Total current assets	3,461,183
Noncurrent:	
Capital assets, net of accumulated depreciation	591,446
Total noncurrent assets	591,446
Total assets	4,052,629
Deferred Outflows of Resources:	
OPEB related deferred outflows	32,248
Pension related deferred outflows	241,573
Total deferred outflows of resources	273,821
Liabilities	
Current:	
Accounts payable	58,950
Salaries and benefits payable	94,872
Compensated absences	265,546
Unearned revenue	112,216
Total OPEB liability	4,192
Total current liabilities	535,776
Noncurrent:	
Compensated absences	130,792
Net pension liability	707,770
Total OPEB liability	121,319
Total noncurrent liabilities	959,881
Total liabilities	1,495,657
Deferred Inflows of Resources:	
OPEB related deferred inflows	38,689
Pension related deferred inflows	36,918
Total deferred inflows of resources	75,607
Net Position	
Investment in capital assets	591,446
Unrestricted	2,163,740
Total net position	\$ 2,755,186

See Notes to Basic Financial Statements.

Linn-Mar Community School District

Statement of Revenues, Expenses and Changes in Net Position

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities Nonmajor Enterprise Funds
Operating revenues:	
Local sources, charges for services	\$ 2,693,523
Total operating revenues	2,693,523
Operating expenses:	
Non-instructional programs:	
Food service:	
Salaries	1,943,794
Benefits	242,200
Services	3,504
Supplies	1,957,874
Depreciation	122,923
Other	65,733
Total food service	4,336,028
Other enterprise	42,193
Community service:	
Salaries	309,281
Benefits	41,146
Services	9,895
Supplies	20,144
Other	69,199
Total community service	449,665
Total operating expenses	4,827,886
Operating (loss)	(2,134,363)
Nonoperating revenues:	
State sources	22,296
Federal sources	1,656,151
Interest on investments	122,110
Total nonoperating revenues	1,800,557
Change in net position	(333,806)
Net position, beginning of year, as restated	3,088,992
Net position, end of year	\$ 2,755,186

See Notes to Basic Financial Statements.

Linn-Mar Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities
	Nonmajor Enterprise Funds
Cash flows from operating activities:	
Cash received from food service sales	\$ 2,230,812
Cash received from aquatic center operations	420,549
Cash received from ROAR store operations	41,569
Cash payments to employees for services	(2,572,247)
Cash payments to suppliers for goods or services	(1,781,499)
Net cash (used in) operating activities	(1,660,816)
Cash flows from noncapital financing activities:	
State grants received	22,296
Federal grants received	1,325,964
Net cash provided by noncapital financing activities	1,348,260
Cash flows from capital and related financing activities:	
Acquisition of capital assets	(6,482)
Principal payment on IT subscription obligations	(3,304)
Net cash (used in) capital and related financing activities	(9,786)
Cash flows from investing activities,	
interest on investments	122,110
Net decrease in cash and cash equivalents	(200,232)
Cash and cash equivalents, beginning of year	3,648,286
Cash and cash equivalents, end of year	\$ 3,448,054

(Continued)

Linn-Mar Community School District

Statement of Cash Flows (Continued)

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities Nonmajor Enterprise Funds
Reconciliation of operating (loss) to net cash (used in) operating activities:	
Operating loss	\$ (2,134,363)
Adjustments to reconcile operating (loss) to net cash (used in) operating activities:	
Commodities consumed	330,187
Depreciation	122,923
Decrease in inventories	1,999
Decrease in accounts receivable	1,409
Increase in accounts payable	54,857
Increase in salaries and benefits payable	31,313
Increase in compensated absences	23,717
Increase in OPEB liability and related deferrals	4,356
(Decrease) in net pension liability and related deferrals	(95,212)
(Decrease) in unearned revenue	(2,002)
Net cash (used in) operating activities	\$ (1,660,816)

Noncash from noncapital financing activities:

During the year ended June 30, 2025, the District used \$330,187 of federal commodities.

See Notes to Basic Financial Statements.



Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies

Linn-Mar Community School District is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve and special education pre-kindergarten. Additionally, the District operates or sponsors various adult education programs. The geographic area served includes the City of Marion, Iowa, portions of the Cities of Robins and Cedar Rapids and portions of the agricultural territory in Linn County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Linn-Mar Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Linn-Mar Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Linn County Assessors' Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, net of accumulated depreciation plus unspent bond proceeds and reduced by outstanding balances for bonds, notes and other debt that are attributed to the acquisition, construction or improvement to those assets.

Restricted net position results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted net position.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources that are imposed by management which can be removed or modified.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. The District does not have any fiduciary funds. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Project Fund accounts as well as the nonmajor enterprise funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The Debt Service Fund is used for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs.

The District reports the following nonmajor governmental funds:

The Management Levy Fund is used to account for the payment of property and insurance as well as early retirement incentive obligations owed by the District to retirees from prior fiscal years.

The Student Activity Fund is utilized to account for the various student run organizations and athletic accounts operating within the District.

The Public Education and Recreation Levy Fund is utilized to account for the resources used to establish and maintain public recreation places and playgrounds and necessary accommodations for children and adults.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has one proprietary fund type. Enterprise funds are used to account for those operations that are financed and operate in a manner similar to private businesses or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

The District reports nonmajor enterprise funds. The District's nonmajor enterprise funds include the School Nutrition Fund, the Aquatic Center Fund, and the ROAR Store Fund. The School Nutrition Fund is used to account for the food service operations of the District. The Aquatic Center Fund is used to account for the operations of the District's pool activities. The ROAR Store Fund is used to account for student store operations of the District.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when the cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and lease obligations are reported as other financing sources.

Under term of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs, and then general revenues.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise funds are charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Linn-Mar Community School District

**Notes to Basic Financial Statements
Year Ended June 30, 2025**

Note 1. Summary of Significant Accounting Policies (Continued)

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value and non-negotiable certificates of deposit which are stated at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds became due and collectible in September and March of the fiscal year with a 1 1/2 % per month penalty for delinquent payments; is based on January 1, 2023 assessed property valuations; is for the tax accrual period July 1, 2024 through June 30, 2025 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April, 2024.

Intergovernmental receivables: Intergovernmental receivables represents amounts due from the State of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for prepaid items by the purchases method.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, machinery, equipment and intangibles acquired after July 1, 1980 are reported in the applicable governmental or business-type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and established useful lives in excess of two years.

Asset Class	Amount
Land	\$ 5,000
Buildings	5,000
Improvements other than buildings	5,000
Intangibles	175,000
Machinery and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	5,000

Land is not depreciated. Buildings, land improvements, machinery and equipment and intangibles, if any, are depreciated/amortized using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Land improvements	20 years
Intangibles	5 - 20 years
Machinery and equipment	5 - 20 years

Deferred outflows of resources: Deferred outflows of resources represent a consumption of net assets that applies to a future year(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense and other postemployment benefit expense and contributions from the employer after the measurement date but before the end of the District's reporting period.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

Salaries and benefits payable: Payroll and related expenditures for contracts corresponding to the current school year, which is payable in July and August, have been accrued as liabilities.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net assets that applies to future year(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current period or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Unavailable revenue in the governmental funds consists of property tax, grants, and lease.

Deferred inflows of resources on the Statement of Net Position consists of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied, leases, and the unrecognized items not yet charged to pension expense or other postemployment benefit expense.

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not yet earned. Unearned revenues are monies collected for meals that have not yet been served.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation, sick leave, and personal leave hours for subsequent use or for payment upon termination, death or retirement. A liability is recorded when each of the following have occurred: the leave is attributable to services already rendered, the leave accumulates and carries forward from one reporting period to the next and the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means.

The District estimates the compensated absences liability for leave benefits that are more likely than not to be used or otherwise paid or settled based on historical information on employees use or payment of the benefits provided. The liability is measured using the pay rates in effect at year-end, the measurement date, and includes salary-related payments that are directly and incrementally associated with the leave liability measurement.

Leases: The District is a lessee for noncancellable leases of buildings and equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in governmental activities of the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Lessor: The District is a lessor for a noncancellable lease of a building space and farmland. The District recognizes a lease receivable and a deferred inflow of the resources in the government-wide and governmental fund financial statements.

At the commencement of a lease, the District initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

Key estimates and judgments include how the District determines (1) the discount rate it uses to discount the expected lease receipts to present value, (2) lease term, and (3) lease receipts.

- The District uses its estimated incremental borrowing rate as the discount rate for leases
- The lease term includes the noncancellable period of the lease. Lease receipts included in the measurement of the lease receivable is composed of fixed payments from the lessee.

The District monitors changes in circumstances that would require a remeasurement of its lease, and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Subscription-Based Information Technology Arrangements (SBITA): The District has entered into contracts that convey control of the right to use information technology software. The District has recognized IT subscription liabilities and intangible right-to-use IT subscription asset in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use an IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalization implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Long-term liabilities: In the District-wide financial statements, long-term obligations are reported as liabilities in the governmental activities column in the Statement of Net Position.

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts are not available for appropriation but are set aside for specific purposes in the District's General Fund. The District's Board of Directors authorizes the Chief Executive Officer to assign General Fund balance amounts pursuant to Board Policy 801.4.

Unassigned: All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications- assigned and then unassigned fund balances.

Net Position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent bond proceeds of \$5,826,894. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2025 consists of \$341,792 for categorical funding, \$1,753,558 for management levy purposes, \$6,198,408 for physical plant and equipment levy, \$13,840,405 for school infrastructure, \$1,000,716 for student activities and \$721,121 for debt service.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 1. Summary of Significant Accounting Policies (Continued)

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Interfund transactions: Transactions among District funds would be treated as revenues and expenditures or expenses if they involved organizations external to the District and are accounted for as revenues and expenditures or expenses in the funds involved.

Transactions which constitute reimbursements to a fund for expenditures initially made from it which are properly applicable to another fund are recorded as expenditures in the reimbursing fund and as reductions of expenditures in the reimbursed fund.

Transactions which constitute the transfer of resources from a fund receiving revenues to a fund through which the revenues are to be expected, are separately reported in the respective fund's operating statements.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" in the fund financial statements. Any residual balances outstanding are reported in the government-wide financial statements as "internal balances".

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Note 2. Budgets and Budgetary Accounting

Budgets and budgetary control:

The budgetary comparison and related disclosures are reported as Required Supplementary Information based on the program structure of four functional areas as required by state statute for its legally adopted budget.

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures.

Formal and legal budgetary control for the certified budget is based upon four major classes of disbursements known as functional areas, not by fund. These four functional areas are instruction, support services, non-instructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The Board of Education follows these procedures in establishing budgetary data reflected in the financial statements:

1. In accordance with the Statutes of the State of Iowa, prior to March 15, the Board Secretary submits to the Board of Education a proposed operating budget for the fiscal year commencing the following July 1. The operating budget includes proposed expenditures or expenses and the means of financing them for the upcoming year, along with estimates for the current year and actual data for the proceeding years. This budget is submitted in summary form, with an administrative control. The legal level of control for the detailed budget is at functional area level.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 2. Budgets and Budgetary Accounting (Continued)

2. Public hearings are required to be conducted to obtain taxpayer comment.
3. Prior to April 15, the budget is legally enacted through certification by the County Auditor.
4. Management is authorized to transfer budgeted amounts between departments within any functional area; however, any revisions that alter the total expenditures or expenses of any functional area must be approved by the Board of Education.
5. The Board of Education may amend the budget during the year without approval of the Board of Education.
6. Appropriations lapse at the end of each fiscal year.
7. The budget cannot be amended without the approval of the Board of Education.
8. Unexpected budgetary balances lapse at June 30 and are not available to finance expenditures or expenses of the following year.

Note 3. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

Interest rate risk: The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but the maturities shall be consistent with the needs and use of the District and must also conform to any loan covenant investment maturity restrictions. The maturity of the District's position in an external investment pool is based on the average maturity of the pool's investments.

At June 30, 2025 the District had investments in the Iowa School Joint Investment Trust (ISJIT) Diversified Fund which is valued at amortized costs of \$11,060,957 pursuant to Rule 2a-7 under the Investment Company Act of 1940. There were no limitations or restrictions on withdrawals of the ISJIT investments.

Credit risk: Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of an investment. This is measured by the assignment of a rating by a nationally recognized rating organization (Standard and Poor's and Moody Investor Services). The District's investment policy does not formally address credit risk.

The investment in the Iowa School Joint Investment was rated AAAm by Standard & Poor's Financial Services.

Concentration of credit risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet its anticipated cash requirements. The District does not have a policy specific to concentration of credit risk. At June 30, 2025, the District had no investments subject to concentration of credit risk.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 3. Cash and Pooled Investments (Continued)

Custodial credit risk: Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g. broker-dealer) to a transaction, a government will not be able to recover the value of its investments or collateral securities that are in the possession of another party. It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12C of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

The District's deposits in banks at June 30, 2025 were entirely covered by federal depository insurance or by State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to ensure that there will be no loss of public funds. The District's investments are held in the name of the District and are not exposed to custodial credit risk.

Restricted cash, cash equivalents and investments is comprised of \$3,494,591 for capital projects.

Note 4. Interfund Transfers and Interfund Balances

The detail of interfund transfers for the year ended June 30, 2025 is as follows:

Transfer To	Transfer From	Amount
Debt Service Fund	Capital Projects Fund	<u>\$ 8,868,626</u>

The transfer from the Capital Projects to the Debt Service Fund was for repayment of principal and interest on the District's revenue bond indebtedness as well as for general obligation bond debt relief and capital loan note indebtedness.

The detail of interfund balances for the year ended June 30, 2025 is as follows:

	Due From	Due To
General Fund	\$ 55,000	\$ -
Nonmajor:		
Student Activity Fund	-	55,000
	<u>\$ 55,000</u>	<u>\$ 55,000</u>

The interfund balances are the result of cash flowing expenditures of other funds.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 5. Capital Assets

Capital assets activity for the year ended June 30, 2025 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated or amortized:				
Land	\$ 8,499,293	\$ -	\$ -	\$ 8,499,293
Construction in progress	15,172,661	22,851,029	1,761,002	36,262,688
Total capital assets not being depreciated or amortized	23,671,954	22,851,029	1,761,002	44,761,981
Capital assets being depreciated/amortized				
Buildings	239,003,616	1,895,052	-	240,898,668
Right to use lease building	554,952	-	121,572	433,380
Land improvements	28,481,193	-	-	28,481,193
Machinery and equipment	16,301,003	3,015,218	15,610	19,300,611
Intangible right to use lease equipment	969,447	-	291,051	678,396
Intangible right to use subscription asset	304,515	-	136,883	167,632
Total capital assets being depreciated/amortized	285,614,726	4,910,270	565,116	289,959,880
Less accumulated depreciation and amortization for:				
Buildings	70,317,844	5,400,069	-	75,717,913
Right to use lease building	318,562	39,398	121,572	236,388
Land improvements	15,208,380	1,371,175	-	16,579,555
Machinery and equipment	11,815,374	911,670	15,610	12,711,434
Intangible right to use lease equipment	302,358	135,679	291,051	146,986
Intangible right to use subscription asset	111,953	87,738	136,883	62,808
Total accumulated depreciation and amortization	98,074,471	7,945,729	565,116	105,455,084
Total capital assets being depreciated/amortized, net	187,540,255	(3,035,459)	-	184,504,796
Governmental activities capital assets, net	\$ 211,212,209	\$ 19,815,570	\$ 1,761,002	\$ 229,266,777
Business-type activities:				
Capital assets being depreciated/amortized:				
Machinery and equipment	\$ 2,658,780	\$ 6,482	\$ -	\$ 2,665,262
Intangible right to use subscription asset	9,914	-	-	9,914
Total capital assets being depreciated/amortized	2,668,694	6,482	-	2,675,176
Less accumulated depreciation/amortization:				
Machinery and equipment	1,956,676	119,618	-	2,076,294
Intangible right to use subscription asset	4,131	3,305	-	7,436
Total accumulated depreciation and amortization	1,960,807	122,923	-	2,083,730
Business-type activities capital assets, net	\$ 707,887	\$ (116,441)	\$ -	\$ 591,446

Linn-Mar Community School District

Notes to Basic Financial Statements **Year Ended June 30, 2025**

Note 5. Capital Assets (Continued)

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:

Instruction:

Regular	\$	246,567
Special		3,253
Other		156,137

Support services:

Administration		19,517
Operation and maintenance of plant		225,098
Transportation		650,570
Unallocated depreciation		6,644,587

Total governmental activities depreciation and amortization expense	\$	7,945,729
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Business-type activities, food service operations	\$	122,923
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Note 6. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2025 is as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
General obligation bonds	\$ 60,695,000	\$ -	\$ 3,270,000	\$ 57,425,000	\$ 3,430,000
Premiums on GO bonds	3,126,482	-	215,958	2,910,524	-
Revenue bonds	48,380,000	10,000,000	5,005,000	53,375,000	5,605,000
Premium on revenue bonds	2,378,365	70,081	308,228	2,140,218	-
Compensated absences	15,606,651	212,721	-	15,819,372	10,598,980
Net pension liability	34,329,233	-	8,022,882	26,306,351	-
Total OPEB liability	4,911,334	-	265,948	4,645,386	155,808
Termination benefits	1,107,500	-	720,000	387,500	387,500
Lease obligations	925,193	-	172,255	752,938	173,313
Direct borrowings and direct placements:					
Revenue bonds	12,900,000	-	100,000	12,800,000	100,000
Capital loan notes	1,210,000	-	1,210,000	-	-
Total	\$ 185,569,758	\$ 10,282,802	\$ 19,290,271	\$ 176,562,289	\$ 20,450,601

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Business-type activities					
Net pension liability	\$ 938,111	\$ -	\$ 230,341	\$ 707,770	\$ -
Total OPEB liability	132,666	-	7,155	125,511	4,192
Compensated absences	372,621	23,717	-	396,338	265,546
IT subscription liability	3,304	-	3,304	-	-
Total	\$ 1,446,702	\$ 23,717	\$ 240,800	\$ 1,229,619	\$ 269,738

Linn-Mar Community School District

Notes to Basic Financial Statements **Year Ended June 30, 2025**

Note 6. Long-Term Liabilities (Continued)

Termination benefits: The District offered a voluntary early retirement plan to its non-administrative, licensed personnel employees during the years ended June 30, 2024 and 2023. Eligible employees had to be a .5 to 1.0 full-time equivalent, be at least age fifty-five and must have completed twenty years of service in a position requiring licensure of which ten were for the District.

June 30, 2024 early retirements: The early retirement incentive for each eligible employee was equal to \$50,000 for full-time personnel and pro-rated for less than 1.0 full-time equivalent personnel. Employees could also elect to continue participation in the District's group health insurance plan until age 65 or until insurance is acquired elsewhere. Their participation is at the employee's expense. The District approved 16 employees for early retirement. The District paid \$387,500 in early retirement benefits to retirees in July 2024 and the second installment of \$387,500 in July 2025.

June 30, 2023 early retirements: The early retirement incentive for each eligible employee was equal to \$35,000 for full-time personnel and pro-rated for less than 1.0 full-time equivalent personnel. Employees could also elect to continue participation in the District's group health insurance plan until age 65 or until insurance is acquired elsewhere. Their participation is at the employee's expense. The District approved 19 employees for early retirement. The District paid \$332,500 in early retirement benefits to retirees in July 2023 and the second installment of \$332,500 in July 2024.

General obligation bonds: As of June 30, 2025, the District had general obligation bonds outstanding of \$57,425,000 which had been issued for capital facility construction/building improvement purposes. The general obligation bonds will be paid with property taxes collected in the Debt Service Fund. Details of the District's June 30, 2025 general obligation bonded indebtedness are as follows:

Year Ending June 30	December 20, 2018			July 23, 2019			Total	
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest	Principal	Interest
2026	3.50	\$ -	\$ 358,250	5.00	\$ 3,430,000	\$ 1,640,650	\$ 3,430,000	\$ 1,998,900
2027	3.50	-	358,250	5.00	3,605,000	1,469,150	3,605,000	1,827,400
2028	3.50	-	358,250	4.00	3,785,000	1,288,900	3,785,000	1,647,150
2029	3.50	-	358,250	4.00	3,935,000	1,137,500	3,935,000	1,495,750
2030	3.50	-	358,250	3.00	4,090,000	980,100	4,090,000	1,338,350
2031-2035	3.50	3,900,000	1,675,750	3.00	18,490,000	3,083,100	22,390,000	4,758,850
2036-2038	3.50-3.75	6,100,000	466,625	3.00	10,090,000	660,000	16,190,000	1,126,625
Total		\$ 10,000,000	\$3,933,625		\$ 47,425,000	\$ 10,259,400	\$ 57,425,000	\$ 14,193,025

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

Revenue bonds: As of June 30, 2025, the District had statewide sales, services and use tax bonds of \$66,175,000, which had been issued for capital facility construction/building improvement projects. These bonds will be paid with statewide sales, services and use tax revenues collected in the Capital Projects: Statewide Sales, Services and Use Tax Account. Details of the District's June 30, 2025 statewide sales, services and use tax revenue bonded indebtedness are as follows:

Year Ending June 30	August 24, 2021			June 22, 2022		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2026	5.00	\$ 1,960,000	\$ 393,738	5.00	\$ 2,100,000	\$ 452,500
2027	3.00	2,025,000	295,738	5.00	2,205,000	347,500
2028	1.25	1,990,000	234,988	5.00	2,315,000	237,250
2029	1.25	2,010,000	210,113	5.00	2,430,000	121,500
2030	0.25	2,115,000	184,988		-	-
2031-2034	2.00	8,985,000	453,700		-	-
Total		\$ 19,085,000	\$ 1,773,265		\$ 9,050,000	\$ 1,158,750

Year Ending June 30	June 5, 2024			Direct Placement March 21, 2023		
	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2026	5.00	\$ 150,000	\$ 636,000	4.42	\$ 100,000	\$ 565,760
2027	5.00	150,000	628,500	4.42	100,000	561,340
2028	5.00	150,000	621,000	4.42	230,000	556,920
2029	5.00	150,000	613,500	4.42	225,000	546,754
2030	5.00	540,000	606,000	4.42	1,385,000	536,810
2031-2035	4.0-5.0	6,100,000	2,630,000	4.42	6,515,000	1,740,158
2036-2040	5.00	8,000,000	480,000	4.42	3,460,000	644,882
2041		-	-	4.42	785,000	34,698
Total		\$ 15,240,000	\$ 6,215,000		\$ 12,800,000	\$ 5,187,322

Year Ending June 30	June 24, 2025			Total		
	Interest Rate	Principal	Interest	Principal	Interest	Total
2026	5.00	\$ 1,395,000	\$ 443,471	\$ 5,705,000	\$ 2,491,469	\$ 8,196,469
2027	5.00	1,515,000	365,262	5,995,000	2,198,340	8,193,340
2028	5.00	-	289,513	4,685,000	1,939,671	6,624,671
2029	5.00	-	289,512	4,815,000	1,781,379	6,596,379
2030	5.00	-	289,513	4,040,000	1,617,311	5,657,311
2031-2035	4.00	1,355,000	1,363,563	22,955,000	6,187,421	29,142,421
2036-2040	4.0-4.125	5,735,000	649,138	17,195,000	1,774,020	18,969,020
2041		-	-	785,000	34,698	819,698
Total		\$ 10,000,000	\$ 3,689,972	\$ 66,175,000	\$ 18,024,309	\$ 84,199,309

On August 24, 2021, the District issued \$26,865,000 School Infrastructure Sales Services & Use Tax Revenue Refunding Bonds Series 2021. The bonds were issued to current refund \$6,990,000 School Infrastructure Sales Services and Use Tax Bonds Series 2012, \$6,220,000 School Infrastructure Sales Services and Use Tax Bonds Series 2013, \$2,105,000 School Infrastructure Sales Services and Use Tax Bonds Series 2014E, and \$14,410,000 School Infrastructures Sales Services and Use Tax Bonds Series 2020. The Series 2021 bonds interest rates range from 0.25 percent to 5.0 percent with interest payable semi-annually on January 1 and July 1 commencing January 1, 2022. Principal is payable each July 1 ranging from \$1,760,000 to \$2,315,000 commencing July 1, 2022 until maturity on July 1, 2034. The District refunded the Series 2012, Series 2013, Series 2014E, and Series 2020 bonds to reduce its total debt service payments over the next thirteen years by \$1,813,551 and to obtain an economic gain of \$1,679,914.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

On June 22, 2022, the District issued \$14,750,000 School Infrastructure Sales Services & Use Tax Revenue Refunding Bonds Series 2022. The bonds were issued to current refund \$12,220,000 School Infrastructure Sales Services and Use Tax Bonds Series 2010 and \$5,345,000 School Infrastructure Sales Services and Use Tax Bonds Series 2015. The Series 2022 bonds have a 5 percent rate and require semi-annual interest payments on January 1 and July 1 commencing January 1, 2024. Principal is payable each July 1 ranging from \$1,795,000 to \$2,430,000 commencing July 1, 2024 until maturity on July 1, 2029. The District refunded the Series 2010 and Series 2015 bonds to reduce its total debt service payments over the next seven years by \$608,198 and to obtain an economic gain of \$657,091.

On June 5, 2024, the District issued \$16,365,000 Series 2024 School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2024. The bonds were issued to construct, build, furnish, and equip a performance arts center. The bonds require annual principal payments each July 1 commencing July 1, 2025, ranging from \$150,000 to \$4,000,000, until maturity on July 1, 2037. The interest rate on the bonds ranges from 4.0-5.0% percent. Interest is due each July 1 and December 1 commencing January 1, 2025. The revenue bonds are collateralized by the Performing Arts Center project.

On June 24, 2025, the District issued \$10,000,000 Series 2025 School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2025. The bonds were issued to construct, build, furnish, and equip a performance arts center. The bonds require annual principal payments each July 1 commencing July 1, 2026, ranging from \$205,000 to \$4,730,000, until maturity on July 1, 2038. The interest rate on the bonds ranges from 4.0-5.0% percent. Interest is due each July 1 and December 1 commencing January 1, 2026. The revenue bonds are collateralized by the Performing Arts Center project.

Direct borrowings Revenue bonds: On March 21, 2023, the District issued \$15,000,000 Series 2023 School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2023. The bonds were issued to construct, furnish and equip a new Learning Resource Center. The bonds require annual principal payments each July 1 commencing July 1, 2025, ranging from \$100,000 to \$2,100,000, until maturity on July 1, 2041. The interest rate on the bonds is 4.420 percent. Interest is due each July 1 and December 1 commencing January 1, 2024. The revenue bonds are collateralized by the Learning Resource Center project.

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds. The bonds were issued for the purpose of financing a portion of the costs of several ongoing projects or to refund prior year revenue bond issuances. The bonds are payable solely from the proceeds of the statewide sales, services, and use tax revenues received by the District and are payable through fiscal year 2041. The bonds are not general obligations of the District. Annual principal and interest payments on the bonds are expected to require approximately 76 percent of the statewide sales, services, and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$84,199,309.

During the year ended June 30, 2025, principal of \$5,105,000 and interest of \$2,352,664 was paid on the revenues bonds. Statewide Sales and Use Tax revenues were \$10,008,279.

The resolution providing for the issuance of statewide sales, services and use tax revenue bonds include the following provisions:

1. Deposits are to be made into a sinking fund in equal monthly installments sufficient to pay the principal and interest due each year. On June 30, 2025, the Debt Service Fund has \$702,905 in cash and pooled investments.
2. All proceeds from the statewide sales, services and use tax will be retained by the District in District bank accounts and be disbursed to the proper paying agents at the time principal and interest payments are due.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

3. The Series 2024 and Series 2025 bonds require a reserve fund equal to the lesser of a) the maximum amount of principal and interest coming due to the bonds, b) 10 percent of the stated principal amount of the bonds or c) 125 percent of the average principal and interest coming due to the bonds. The District placed \$2,636,500 of bond proceeds in the required reserve fund.

Direct borrowings Capital loan note: For the year ended June 30, 2025, the District paid \$1,210,000 in principal and \$23,595 in interest on a capital loan note which was issued for capital facility construction/improvements during fiscal year 2016. The capital loan notes were paid with property taxes collected in the Capital Projects Fund: Physical Plant, and Equipment Levy Account. As of June 30, 2025, the capital loan note has been paid in full.

Lease Obligations: The District has entered into leases for equipment and buildings. The leases expire between June 30, 2026 and June 30, 2030. Details of the leases are as follows:

Year ending June 30:	Success Center Building			Access Systems		
	Principal	Interest	Total	Principal	Interest	Total
2026	\$ 40,150	\$ 3,140	\$ 43,290	\$ 133,163	\$ 9,526	\$ 142,689
2027	40,960	3,140	44,100	135,851	6,838	142,689
2028	44,013	2,292	46,305	138,593	4,096	142,689
2029	44,901	1,404	46,305	129,500	1,260	130,760
2030	45,807	498	46,305	-	-	-
Total	\$ 215,831	\$ 10,474	\$ 226,305	\$ 537,107	\$ 21,720	\$ 558,827

Year ending June 30:	Total		
	Principal	Interest	Total
2026	\$ 173,313	\$ 12,666	\$ 185,979
2027	176,811	9,978	186,789
2028	182,606	6,388	188,994
2029	174,401	2,664	177,065
2030	45,807	498	46,305
Total	\$ 752,938	\$ 32,194	\$ 785,132

Subscription-Based Information Technology Arrangement (SBITA): The District entered into arrangements for information technology. The arrangements expired June 30, 2025 and were obligations of the District's Nonmajor Enterprise Fund, School Nutrition. The District paid \$3,304 in principal and \$78 in interest during the year ending June 30, 2025.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 6. Long-Term Liabilities (Continued)

Legal debt margin: The June 30, 2025 debt outstanding by the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	\$ 5,201,573,186
Debt limit, 5% of total assessed valuation	260,078,659
Amount of debt applicable to debt limit:	
Bonded debt	57,425,000
Lease obligations	752,938
Excess of debt limit over bonded debt	\$ 201,900,721

Note 7. Pension Plan

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 7. Pension Plan (Continued)

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2025, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

The District's contributions to IPERS for the year ended June 30, 2025 were \$6,278,814.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2025, the District reported a liability of \$27,014,121 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2024, the District's proportion was 0.741841 percent, which was a decrease of 0.039505 from its proportion measured as of June 30, 2023

For the year ended June 30, 2025, the District recognized pension expense of \$2,988,020. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 2,149,539	\$ 16,786
Changes of assumptions	-	379
Net difference between projected and actual earnings on pension plan investments	337,853	-
Changes in proportion and differences between District contributions and proportionate share of contributions	454,137	1,391,739
District contributions subsequent to the measurement date	6,278,814	-
Total	\$ 9,220,343	\$ 1,408,904

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 7. Pension Plan (Continued)

\$6,278,814 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2026	\$ (3,670,925)
2027	6,428,937
2028	4,330
2029	(1,149,831)
2030	(79,886)
Thereafter	-
Total	\$ 1,532,625

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions: The total pension liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2024 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2024 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation.

Linn-Mar Community School District

Notes to Basic Financial Statements **Year Ended June 30, 2025**

Note 7. Pension Plan (Continued)

The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	3.52%
International equity	13.0%	5.18%
Global smart beta equity	5.0%	4.12%
Core plus fixed income	25.5%	3.04%
Public credit	3.0%	4.53%
Cash	1.0%	1.69%
Private equity	17.0%	8.89%
Private real assets	9.0%	4.25%
Private credit	5.5%	6.62%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability (asset)	\$ 66,292,169	\$ 27,014,121	\$ (5,881,451)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2025, the District reported payables to IPERS of \$0 for legally required employer contributions and \$0 for legally required employee contributions withheld from employee wages which had not yet been remitted to IPERS.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 8. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Linn-Mar Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. This plan provides medical and prescription drug benefits for eligible employees and retirees and their spouses.

Benefits provided: The medical/prescription drug coverage is provided through a self-insured 28E organization plan with Metro Interagency Insurance Program. Retirees under age 65 pay the same premium for the medical/prescription drug benefit as active employees. The contribution requirements of plan members are established and may be amended by the District. The District currently finances the retiree benefit plan on a pay-as-you-go basis.

The full monthly premium rates as of June 30, 2025 for each plan are as shown below:

Rate Tier	HMO Core	PPO Core	PPO Choice
Single	\$ 553	\$ 666	\$ 709
Employee + Spouse	1,134	1,366	1,454
Employee + Children	1,051	1,266	1,347
Family	1,692	2,039	2,170

Employees covered by benefit terms: At June 30, 2025, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	47
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	1,077
Total	1,124

Total OPEB Liability

The District's total OPEB liability of \$4,770,897 was measured as of June 30, 2025 and was determined by an actuarial valuation as of June 30, 2024 rolled forward to June 30, 2025.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2025 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.70% per annum
Salary increases	3.25% per annum
Discount rate	5.20% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	7.75%
	The trend rate is reduced by 0.30% each year until reaching the ultimate trend rate of 4.00%

Linn-Mar Community School District

Notes to Basic Financial Statements
Year Ended June 30, 2025

Note 8. Other Postemployment Benefits (OPEB) (Continued)

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the Pub-2010 generational table scaled using MP-2021 and applied on a gender-specific and job class basis. The actuarial assumptions used in the June 30, 2025 valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Changes in the Total OPEB Liability

	Net OPEB Liability (a) - (b)
Balance at July 1, 2024	\$ 5,044,000
Changes for the year:	
Service cost	339,775
Interest	205,130
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(489,658)
Benefit payments	(328,350)
Net changes	(273,103)
Balance at June 30, 2025	\$ 4,770,897

There were no changes as a result of changes in benefit terms. Changes of assumptions or other inputs reflect a change in the discount rate from 3.93% per annum in 2024 to 5.20% per annum in 2025.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease (4.20%)	Discount Rate (5.20%)	1% Increase (6.20%)
Total OPEB liability	\$ 5,152,473	\$ 4,770,897	\$ 4,419,298

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease (6.75% decreasing to 3.0%)	Healthcare Cost Trend Rates (7.75% decreasing to 4.0%)	1% Increase (8.75% decreasing to 5.0%)
Total OPEB liability	\$ 4,266,211	\$ 4,770,897	\$ 5,364,805

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 8. Other Postemployment Benefits (OPEB) (Continued)

For the year ended June 30, 2025, the District recognized OPEB expense of \$494,566. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,051,954	\$ 291,433
Changes of assumptions or other inputs	208,649	1,186,783
Net difference between projected and actual investments	-	-
Total	\$ 1,260,603	\$ 1,478,216

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2026	\$ (50,339)
2027	(50,339)
2028	(50,339)
2029	(46,449)
2030	(49,590)
Thereafter	29,443
Total	\$ (217,613)

Note 9. Risk Management

The District is a member of a joint venture with six other local government units. The joint venture, the Metro Interagency Insurance Program (MIIP), was incorporated in 1990 under a joint powers agreement in accordance with Chapter 28E of the Code of Iowa. The program provides services necessary and appropriate for the establishment, operation and maintenance of an insurance program for employee health and medical claims. MIIP is not intended to function as an insurance company for the participants; rather it is a means of combining the administration of claim and obtaining lower insurance rates from commercial insurance. Although premiums billed to the participants are determined on an actuarial basis, ultimate liability for claims remains with the respective participant and accordingly, the insurance risks are not transferred to MIIP. In the event that the member withdraws from MIIP, the withdrawn members continues to be responsible for its share of cost arising from events occurring when it was a participating member. If the withdrawn member at any time has a negative equity balance, the withdrawn member is immediately liable and obligated to MIIP for that amount.

The Districts contribute to the self-insurance plan an amount equal to 125% of Wellmark Blue Cross/Blue Shield projections of the rating period. The fund reinsures for stop-loss insurance for claims in excess of \$250,000 per year per individual. An insurance carrier is paid an administrative fee to process the claims.

At June 30, 2025, the District is an active member of MIIP and has a positive equity balance of \$6,791,834. The total premium paid into the plan by all six members from July 1, 2024 to June 30, 2025 was approximately \$52,700,000 of which \$9,087,182 was paid by Linn-Mar Community School District.

MIIP issues a publicly available financial report that includes financial statements and required supplementary information. The report may be obtained by writing to Metro Interagency Insurance Program, 1120 33rd Avenue, SW, Cedar Rapids, Iowa, 52404.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 9. Risk Management (Continued)

In addition, the District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Note 10. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$3,079,830 for the year ended June 30, 2025 and is recorded in the General Fund.

The Governor signed House File 2612 on March 27, 2024, which changes the percentage of educational and media services funding generated through local property taxes by Districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For fiscal year 2026, 100% of the educational and media services funds generated by Districts will be received directly by the District and none will flow through to the AEAs. Also, for fiscal year 2026, Districts will flow through 90% (instead of 100%) of special education support services funds to AEAs, who will code the funds as a combination of state aid and property taxes.

Note 11. Categorical Funding

The District's restricted fund balance for categorical funding at June 30, 2025 is comprised of the following programs:

Program	Amount
Professional development	\$ 183,335
Four year old preschool	158,457
Total	<u><u>\$ 341,792</u></u>

Note 12. Construction Commitments

The District has entered into contracts totaling \$40,055,704 for various construction projects throughout the District. As of June 30, 2025, costs of \$35,534,483 had been incurred against these contracts. The remaining balance of 4,521,221 at June 30, 2025 will be paid as work on the projects progresses.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 13. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2025 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Marion	Urban renewal and economic development projects	\$ 284,288
City of Cedar Rapids	Urban renewal and economic development projects	226,424

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, this reimbursement amounted to \$591,324.

Note 14. Governmental Accounting Standards Board (GASB) Statements

The District adopted the following statements during the year ended June 30, 2025:

GASB Statement No. 101, *Compensated Absences*, issued June 2022. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

Linn-Mar Community School District

Notes to Basic Financial Statements Year Ended June 30, 2025

Note 14. Governmental Accounting Standards Board (GASB) Statements (Continued)

The above statements did not have a significant impact to the District except for GASB Statement No. 101 required the District to restate beginning net position of the governmental activities and business type activities.

As of June 30, 2025, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital assets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed. In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 15. Restatement

The District implemented GASB Statement No. 101, *Compensated Absences*, which required the District to restate net position as of June 30, 2024, as follows:

	Governmental Activities	Business-Type Activities	Nonmajor Funds	
			School Nutrition Fund	Aquatic Center
Net position June 30, 2024, as previously reported	\$ 97,522,113	\$ 3,461,613	\$ 3,135,217	\$ 296,045
Compensated absences previously reported	108,826	-	-	-
Compensated absences liability, change in accounting principle	(15,606,651)	(372,621)	(363,556)	(9,065)
Net position June 30, 2024, as restated	<u>\$ 82,024,288</u>	<u>\$ 3,088,992</u>	<u>\$ 2,771,661</u>	<u>\$ 286,980</u>

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REQUIRED SUPPLEMENTARY INFORMATION



Linn-Mar Community School District

Required Supplementary Information

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Year Ended June 30, 2025**

	Governmental Funds - Actual	Enterprise Fund - Actual	Total Actual
Revenues:			
Local sources	\$ 59,071,069	\$ 2,815,633	\$ 61,886,702
State sources	70,611,302	22,296	70,633,598
Federal sources	2,992,012	1,656,151	4,648,163
Total revenues	132,674,383	4,494,080	137,168,463
Expenditures/expenses:			
Instruction	73,196,533	-	73,196,533
Support services	33,980,058	-	33,980,058
Non-instructional programs	146,600	4,827,886	4,974,486
Other expenditures	42,138,489	-	42,138,489
Total expenditures	149,461,680	4,827,886	154,289,566
Excess (deficiency) of revenues over (under) expenditures	(16,787,297)	(333,806)	(17,121,103)
Total other financing sources, net	10,073,319	-	10,073,319
Excess (deficiency) of revenues and other financing sources over (under) expenditures	(6,713,978)	(333,806)	(7,047,784)
Balance, beginning of year, as restated	43,355,761	3,088,992	46,444,753
Balance, end of year	<u>\$ 36,641,783</u>	<u>\$ 2,755,186</u>	<u>\$ 39,396,969</u>

See Notes to Required Supplementary Information.

Budgeted Amounts		Final to Actual	
Original	Final	Variance	
\$ 59,087,153	\$ 59,087,153	\$	2,799,549
69,927,255	69,927,255		706,343
5,674,010	5,674,010		(1,025,847)
134,688,418	134,688,418		2,480,045
71,955,000	75,836,710		2,640,177
34,849,700	37,248,663		3,268,605
5,207,500	5,207,500		233,014
28,110,865	47,791,825		5,653,336
140,123,065	166,084,698		11,795,132
(5,434,647)	(31,396,280)		14,275,177
825,000	825,000		9,248,319
\$ (4,609,647)	\$ (30,571,280)	\$	23,523,496

Linn-Mar Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Eight Fiscal Years**

	2025	2024
Total OPEB liability		
Changes for the year:		
Service cost	\$ 339,775	\$ 379,050
Interest	205,130	177,681
Changes of benefit terms	-	-
Differences between expected and actual experience	-	623,183
Changes in assumptions or other inputs	(489,658)	(544,838)
Benefit payments	(328,350)	(160,017)
Net changes in total OPEB liability	(273,103)	475,059
Total OPEB liability - beginning	5,044,000	4,568,941
Total OPEB liability - ending	<u>\$ 4,770,897</u>	<u>\$ 5,044,000</u>
Covered employee payroll	\$ 63,343,000	\$ 61,350,000
Total OPEB liability as a percentage of covered employee payroll	8%	8%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate.

The following are the discount rates used in each period.	5.20%	3.93%
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No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

See Notes to Required Supplementary Information.

2023	2022	2021	2020	2019	2018
\$ 374,274	\$ 372,361	\$ 361,772	\$ 287,498	\$ 278,769	\$ 268,383
160,115	82,395	76,313	116,898	114,169	106,335
-	-	-	-	-	-
-	759,815	-	(607,860)	-	-
(42,284)	(379,407)	15,284	338,044	98,643	(70,450)
(143,824)	(113,337)	(91,702)	(99,730)	(121,214)	(103,611)
348,281	721,827	361,667	34,850	370,367	200,657
4,220,660	3,498,833	3,137,166	3,102,316	2,731,949	2,531,292
\$ 4,568,941	\$ 4,220,660	\$ 3,498,833	\$ 3,137,166	\$ 3,102,316	\$ 2,731,949
\$ 53,908,000	\$ 52,337,492	\$ 50,788,000	\$ 49,308,809	\$ 46,570,000	\$ 44,995,142
8%	8%	7%	6%	7%	6%
3.65%	3.54%	2.16%	2.21%	3.50%	3.87%

Linn-Mar Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2025*	2024*	2023*	2022*
District's proportion of the net pension liability	0.741841%	0.781346%	0.815483%	-0.310210%
District's proportionate share of the net pension liability	\$ 27,014,121	\$ 35,267,344	\$ 30,810,141	\$ 1,070,927
District's covered payroll	\$ 68,644,943	\$ 68,768,117	\$ 65,769,488	\$ 62,056,614
District's proportionate share of the net pension liability as a percentage of its employee covered payroll	39.35%	51.28%	46.85%	1.73%
Plan fiduciary net pension as a percentage of the total pension liability	92.30%	90.13%	91.40%	100.81%

*The amounts presented for each fiscal year were determined as of June 30 of the preceding year

See Notes to Required Supplementary Information.

	2021*		2020*		2019*		2018*		2017*		2016*
	0.747224%		0.767621%		0.748404%		0.730830%		0.728902%		0.717733%
\$	52,490,498	\$	44,450,304	\$	47,360,843	\$	48,682,515	\$	45,872,128	\$	35,459,499
\$	59,365,114	\$	58,391,459	\$	56,337,809	\$	54,605,986	\$	52,340,257	\$	49,198,902
	88.42%		76.12%		84.07%		89.15%		87.64%		72.07%
	82.90%		85.45%		83.62%		82.21%		81.82%		85.19%

Linn-Mar Community School District

Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System
Last Ten Fiscal Years

	2025	2024	2023	2022
Statutorily required contribution	\$ 6,278,814	\$ 6,462,612	\$ 6,481,493	\$ 6,197,344
Contributions in relation to the statutorily required contribution	(6,278,814)	(6,462,612)	(6,481,493)	(6,197,344)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 66,646,600	\$ 68,644,943	\$ 68,768,117	\$ 65,769,488
Contributions as a percentage of covered payroll	9.42%	9.41%	9.43%	9.42%

See Notes to Required Supplementary Information.

2021		2020		2019		2018		2017		2016	
\$	5,852,268	\$	5,604,066	\$	5,512,154	\$	5,030,968	\$	4,876,316	\$	4,673,985
(5,852,268)		(5,604,066)		(5,512,154)		(5,030,968)		(4,876,316)		(4,673,985)	
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	62,056,614	\$	59,365,114	\$	58,391,459	\$	56,337,809	\$	54,605,986	\$	52,340,257
9.43%		9.44%		9.44%		8.93%		8.93%		8.93%	



Linn-Mar Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2025

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the accrual basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the fiscal year, the District adopted one budget amendment increasing budgeted expenditures by \$25,961,633 for increased open enrollment out expenses, increased transportation, utilities, food costs and other operating costs, and the performance venue construction project.

Note 2. Pension Liability

There are no significant changes in benefit terms.

Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017
- Adjusted retirement rates
- Lowered disability rates
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

Linn-Mar Community School District

**Notes to Schedule of Expenditures of Federal Awards
Year Ended June 30, 2025**

Note 2. Pension Liability (Continued)

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

SUPPLEMENTARY INFORMATION





NONMAJOR GOVERNMENTAL FUNDS
AND CAPITAL PROJECT FUNDS BY ACCOUNT



Linn-Mar Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2025

	Special Revenue			
	Management Levy	Student Activity	Public Education and Recreation Levy	Total
Assets				
Cash and pooled investments	\$ 1,755,860	\$ 1,024,236	\$ 301,991	\$ 3,082,087
Receivables:				
Property tax:				
Delinquent	8,888	-	1,277	10,165
Succeeding year	2,699,988	-	367,875	3,067,863
Due from other governments	-	33	-	33
Accounts	-	97,070	-	97,070
Total assets	\$ 4,464,736	\$ 1,121,339	\$ 671,143	\$ 6,257,218
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 11,190	\$ 38,100	\$ 8,495	\$ 57,785
Salaries and benefits payable	-	27,523	4,783	32,306
Due to other funds	-	55,000	-	55,000
Total liabilities	11,190	120,623	13,278	145,091
Deferred inflows of resources, unavailable revenue:				
Succeeding year property tax	2,699,988	-	367,875	3,067,863
Fund balances:				
Restricted for:				
Management levy purposes	1,753,558	-	-	1,753,558
Student activities	-	1,000,716	-	1,000,716
Public education and recreation levy purposes	-	-	289,990	289,990
Total fund balances	1,753,558	1,000,716	289,990	3,044,264
Total liabilities, deferred inflows of resources and fund balances	\$ 4,464,736	\$ 1,121,339	\$ 671,143	\$ 6,257,218

Linn-Mar Community School District

Combining Schedule of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2025

	Special Revenue			
	Management Levy	Student Activity	Public Education and Recreation Levy	Total
Revenues:				
Local sources:				
Property tax	\$ 2,488,916	\$ -	\$ 357,523	\$ 2,846,439
Utility excise tax	8,801	-	1,264	10,065
Other tax	4,868	-	699	5,567
Other	20,009	1,248,453	47,029	1,315,491
State sources	26,418	-	3,795	30,213
Total revenues	2,549,012	1,248,453	410,310	4,207,775
Expenditures:				
Current:				
Instruction:	825,560	1,251,854	-	2,077,414
Support services:				
Student	59,407	-	-	59,407
Instructional staff	57,172	-	-	57,172
Administration services	187,119	-	-	187,119
Operation and maintenance of plant services	1,327,012	-	106,777	1,433,789
Student transportation	252,062	-	-	252,062
Non-instructional programs:				
Food service operations	101,592	-	-	101,592
Community service operations	-	-	45,008	45,008
Capital outlay	-	-	6,202	6,202
Total expenditures	2,809,924	1,251,854	157,987	4,219,765
Net change in fund balances	(260,912)	(3,401)	252,323	(11,990)
Fund balances, beginning of year	2,014,470	1,004,117	37,667	3,056,254
Fund balances, end of year	\$ 1,753,558	\$ 1,000,716	\$ 289,990	\$ 3,044,264

Linn-Mar Community School District

Schedule of Combining Balance Sheet
Capital Projects Fund - By Account
June 30, 2025

	Capital Projects Fund Accounts			
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects Fund	Total
Assets				
Cash and pooled investments	\$ 15,123,168	\$ 6,181,951	\$ -	\$ 21,305,119
Restricted cash and investments	-	-	3,494,591	3,494,591
Receivables:				
Property tax:				
Delinquent	-	16,457	-	16,457
Succeeding year	-	4,759,186	-	4,759,186
Due from other governments	1,049,540	-	-	1,049,540
Total assets	\$ 16,172,708	\$ 10,957,594	\$ 3,494,591	\$ 30,624,893
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities, accounts payable	\$ 2,064,340	\$ 525,872	\$ 594,675	\$ 3,184,887
Deferred inflows of resources, unavailable revenue:				
Succeeding year property tax	-	4,759,186	-	4,759,186
Total deferred inflows of resources	-	4,759,186	-	4,759,186
Fund Balances:				
Restricted for:				
Debt service	2,636,500	-	-	2,636,500
School infrastructure	11,471,868	-	2,899,916	14,371,784
Physical plant and equipment	-	5,672,536	-	5,672,536
Total fund balances	14,108,368	5,672,536	2,899,916	22,680,820
Total liabilities, deferred inflows of resources, and fund balances	\$ 16,172,708	\$ 10,957,594	\$ 3,494,591	\$ 30,624,893

Linn-Mar Community School District

Combining Schedule of Revenues, Expenditures and Changes in Fund Balances
Capital Projects Fund - By Account
Year Ended June 30, 2025

	Capital Projects Fund Accounts			
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Other Capital Projects Fund	Total
Revenues:				
Local sources:				
Property tax	\$ -	\$ 4,586,216	\$ -	\$ 4,586,216
Utility excise tax	-	15,639	-	15,639
Other tax	-	8,652	-	8,652
Other	639,274	573,379	279,618	1,492,271
State sources	10,008,279	46,943	-	10,055,222
Total revenues	10,647,553	5,230,829	279,618	16,158,000
Expenditures:				
Current:				
Instruction	1,160,777	-	-	1,160,777
Support services:				
Instructional staff	3,037	19,705	-	22,742
Administration	-	164,415	-	164,415
Operation and maintenance of plant services	-	138,622	-	138,622
Student transportation	-	1,147,187	-	1,147,187
Capital outlay	17,649,512	2,958,110	3,873,338	24,480,960
Debt service:				
Interest and fiscal charges	228,887	-	-	228,887
Total expenditures	19,042,213	4,428,039	3,873,338	27,343,590
Excess of (deficiency) of revenues over (under) expenditures	(8,394,660)	802,790	(3,593,720)	(11,185,590)
Other financing sources (uses):				
Issuance of long-term debt	10,000,000	-	-	10,000,000
Premium on issuance of long-term debt	70,081	-	-	70,081
Transfers (out)	(7,457,663)	(1,410,963)	-	(8,868,626)
Total other financing sources (uses)	2,612,418	(1,410,963)	-	1,201,455
Net change in fund balance	(5,782,242)	(608,173)	(3,593,720)	(9,984,135)
Fund balance, beginning of year	19,890,610	6,280,709	6,493,636	32,664,955
Fund balance, end of year	\$ 14,108,368	\$ 5,672,536	\$ 2,899,916	\$ 22,680,820



NONMAJOR ENTERPRISE FUNDS



Linn-Mar Community School District

Combining Statement of Net Position

Nonmajor Enterprise Funds

June 30, 2025

	School Nutrition	Aquatic Center	ROAR Store	Total
Assets				
Current:				
Cash and cash equivalents	\$ 3,022,828	\$ 395,225	\$ 30,001	\$ 3,448,054
Accounts receivable	159	-	-	159
Inventories	12,970	-	-	12,970
Total current assets	3,035,957	395,225	30,001	3,461,183
Noncurrent:				
Capital assets, net of accumulated depreciation	591,446	-	-	591,446
Total noncurrent assets	591,446	-	-	591,446
Total assets	3,627,403	395,225	30,001	4,052,629
Deferred Outflows of Resources:				
OPEB related deferred outflows	30,728	1,520	-	32,248
Pension related deferred outflows	223,132	18,441	-	241,573
	253,860	19,961	-	273,821
Liabilities				
Current:				
Accounts payable	41,019	17,657	274	58,950
Salaries and benefits payable	30,997	63,875	-	94,872
Compensated absences	258,954	6,592	-	265,546
Unearned revenue	112,216	-	-	112,216
Total OPEB liability	3,872	320	-	4,192
Total current liabilities	447,058	88,444	274	535,776
Noncurrent:				
Compensated absences	127,545	3,247	-	130,792
Net pension liability	653,742	54,028	-	707,770
Total OPEB liability	113,681	7,638	-	121,319
Total noncurrent liabilities	894,968	64,913	-	959,881
Total liabilities	1,342,026	153,357	274	1,495,657
Deferred Inflows of Resources:				
OPEB related deferred inflows	36,084	2,605	-	38,689
Pension related deferred inflows	34,100	2,818	-	36,918
Total deferred inflows	70,184	5,423	-	75,607
Net Position				
Investment in capital assets	591,446	-	-	591,446
Unrestricted	1,877,607	256,406	29,727	2,163,740
Total net position	\$ 2,469,053	\$ 256,406	\$ 29,727	\$ 2,755,186

Linn-Mar Community School District

Combining Statement of Revenues, Expenses and Changes in Net Position
Nonmajor Enterprise Funds
Year Ended June 30, 2025

	School Nutrition	Aquatic Center	ROAR Store	Total
Operating revenues:				
Local sources, charges for services	\$ 2,232,863	\$ 419,091	\$ 41,569	\$ 2,693,523
Total operating revenues	2,232,863	419,091	41,569	2,693,523
Operating expenses:				
Non-instructional programs:				
Food service:				
Salaries	1,943,794	-	-	1,943,794
Benefits	242,200	-	-	242,200
Services	3,504	-	-	3,504
Supplies	1,957,874	-	-	1,957,874
Depreciation/amortization	122,923	-	-	122,923
Other	65,733	-	-	65,733
Total food service	4,336,028	-	-	4,336,028
Other enterprise	-	-	42,193	42,193
Community service:				
Salaries	-	309,281	-	309,281
Benefits	-	41,146	-	41,146
Services	-	9,895	-	9,895
Supplies	-	20,144	-	20,144
Other	-	69,199	-	69,199
Total community service	-	449,665	-	449,665
Total operating expenses	4,336,028	449,665	42,193	4,827,886
Operating (loss)	(2,103,165)	(30,574)	(624)	(2,134,363)
Nonoperating revenues:				
State sources	22,296	-	-	22,296
Federal sources	1,656,151	-	-	1,656,151
Interest on investments	122,110	-	-	122,110
Total nonoperating revenues	1,800,557	-	-	1,800,557
Change in net position	(302,608)	(30,574)	(624)	(333,806)
Net position, beginning of year, as restated	2,771,661	286,980	30,351	3,088,992
Net position, end of year	\$ 2,469,053	\$ 256,406	\$ 29,727	\$ 2,755,186

Linn-Mar Community School District

Combining Statement of Cash Flows
Nonmajor Enterprise Funds
Year Ended June 30, 2025

	School Nutrition	Aquatic Center	ROAR Store	Total
Cash flows from operating activities:				
Cash received from food service sales	\$ 2,230,812	\$ -	\$ -	\$ 2,230,812
Cash received from aquatic center operations	-	420,549	-	420,549
Cash received from ROAR store operations	-	-	41,569	41,569
Cash payments to employees for services	(2,227,861)	(344,386)	-	(2,572,247)
Cash payments to suppliers for goods or services	(1,655,896)	(83,684)	(41,919)	(1,781,499)
Net cash (used in) operating activities	(1,652,945)	(7,521)	(350)	(1,660,816)
Cash flows from noncapital financing activities:				
State grants received	22,296	-	-	22,296
Federal grants received	1,325,964	-	-	1,325,964
Net cash provided by noncapital financing activities	1,348,260	-	-	1,348,260
Cash flows from capital and related financing activities:				
Acquisition of capital assets	(6,482)	-	-	(6,482)
Principal payment on IT subscription obligations	(3,304)	-	-	(3,304)
Net cash (used in) capital and related financing activities	(9,786)	-	-	(9,786)
Cash flows from investing activities, interest on investments	122,110	-	-	122,110
Net (decrease) in cash and cash equivalents	(192,361)	(7,521)	(350)	(200,232)
Cash and cash equivalents, beginning of year	3,215,189	402,746	30,351	3,648,286
Cash and cash equivalents, end of year	<u>\$ 3,022,828</u>	<u>\$ 395,225</u>	<u>\$ 30,001</u>	<u>\$ 3,448,054</u>

(Continued)

Linn-Mar Community School District

Combining Statement of Cash Flows (Continued)

Nonmajor Enterprise Funds

Year Ended June 30, 2025

Reconciliation of operating (loss) to net cash

(used in) operating activities:

Operating (loss)	\$ (2,103,165)	\$ (30,574)	\$ (624)	\$ (2,134,363)
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Adjustments to reconcile operating

(loss) to net cash (used in) operating

activities:

Commodities consumed	330,187	-	-	330,187
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Depreciation/amortization	122,923	-	-	122,923
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Decrease in inventories	1,999	-	-	1,999
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(Increase) decrease in accounts receivable	(49)	1,458	-	1,409
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Increase in accounts payable	39,029	15,554	274	54,857
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Increase in salaries

and benefits payable	26,546	4,767	-	31,313
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Increase in compensated absences	22,943	774	-	23,717
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Increase in OPEB liability and

related deferrals	4,023	333	-	4,356
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Increase (decrease) in net pension liability

and related deferrals	(95,379)	167	-	(95,212)
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(Decrease) in unearned revenue	(2,002)	-	-	(2,002)
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Net cash (used in)

operating activities	\$ (1,652,945)	\$ (7,521)	\$ (350)	\$ (1,660,816)
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Noncash from noncapital financing activities:

During the year ended June 30, 2025, the District used \$330,187 of federal commodities.





Statistical Section

(Unaudited)

This part of the Linn-Mar Community School District's annual comprehensive financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

<u>Contents</u>	<u>Page</u>
Financial Trends	74-89
These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time.	
Revenue Capacity	90-96
These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	
Debt Capacity	97-102
These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt.	
Demographic and Economic Information	103-108
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments.	
Operating Information	109-117
These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	

Linn-Mar Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	2016	2017	2018	2019
Governmental activities:				
Net investment in capital assets	\$ 48,606,036	\$ 62,549,123	\$ 70,504,714	\$ 76,718,101
Restricted	22,710,019	14,982,592	12,005,864	10,550,211
Unrestricted	(22,456,176)	(25,221,400)	(28,085,387)	(30,704,589)
Total governmental activities net position	\$ 48,859,879	\$ 52,310,315	\$ 54,425,191	\$ 56,563,723
Business-type activities				
Net investment in capital assets	\$ 541,797	\$ 742,173	\$ 666,154	\$ 574,630
Unrestricted	715,536	421,375	441,240	658,775
Total business-type activities net position	\$ 1,257,333	\$ 1,163,548	\$ 1,107,394	\$ 1,233,405

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
\$ 83,108,503	\$ 84,736,354	\$ 89,775,215	\$ 95,530,955	\$ 97,922,225	\$ 102,505,104
10,666,215	13,640,492	12,690,386	14,846,661	20,612,776	24,145,990
(32,389,777)	(31,586,729)	(23,926,481)	(23,048,442)	(21,012,888)	(29,738,653)
\$ 61,384,941	\$ 66,790,117	\$ 78,539,120	\$ 87,329,174	\$ 97,522,113	\$ 96,912,441
\$ 496,271	\$ 1,068,342	\$ 935,163	\$ 825,140	\$ 707,887	\$ 591,446
523,351	578,717	1,923,418	2,603,404	2,753,726	2,163,740
\$ 1,019,622	\$ 1,647,059	\$ 2,858,581	\$ 3,428,544	\$ 3,461,613	\$ 2,755,186

Linn-Mar Community School District

Expenses, Program Revenues and Net (Expense) Revenue Last Ten Fiscal Years (accrual basis of accounting) (Unaudited)

	2016	2017	2018	2019
Expenses:				
Governmental activities:				
Instruction	\$ 51,168,392	\$ 56,707,418	\$ 58,931,656	\$ 61,473,758
Support services:				
Student	3,677,997	4,355,525	4,484,173	4,299,379
Instructional staff	6,368,459	5,775,910	6,346,603	6,282,247
Administration	6,874,302	6,582,752	7,468,634	7,553,924
Operation and maintenance of plant	6,402,268	6,663,099	7,109,445	9,049,914
Transportation	2,749,936	2,813,289	3,093,011	3,559,751
Non-instructional programs	128,979	123,241	98,548	93,551
Long-term debt interest and fiscal charges	3,031,161	3,153,088	2,513,240	2,599,276
Other expenses:				
AEA flowthrough	3,055,116	3,107,129	3,239,555	3,339,090
Depreciation (unallocated)	4,133,605	4,204,016	4,570,877	4,752,841
Total governmental activities	87,590,215	93,485,467	97,855,742	103,003,731
Business-type activities:				
School nutrition	3,357,540	3,664,633	3,626,056	3,579,698
Aquatic center	239,212	258,173	288,691	316,352
ROAR store	12,426	31,857	39,299	37,071
Total business-type activities	3,609,178	3,954,663	3,954,046	3,933,121
Total primary government expenses	91,199,393	97,440,130	101,809,788	106,936,852
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	6,407,571	6,745,753	7,818,599	8,173,922
Support services	12,868	24,166	27,459	1,862,441
Operating grants and contributions	6,047,560	6,581,814	14,462,348	13,126,850
Capital grants and contributions	18,989	25,500	36,900	-
Total governmental activities	12,486,988	13,377,233	22,345,306	23,163,213
Business-type activities:				
Charges for services:				
School nutrition	2,185,826	2,244,925	2,301,977	2,266,321
Aquatic center	273,967	293,629	295,531	351,434
ROAR store	12,335	31,494	43,078	46,990
Operating grants and contributions	1,226,303	1,287,140	1,271,317	1,376,878
Capital grants and contributions	-	-	-	-
Total business-type activities	3,698,431	3,857,188	3,911,903	4,041,623
Total primary government revenues	16,185,419	17,234,421	26,257,209	27,204,836
Net (expense) revenues:				
Governmental activities	(75,103,227)	(80,108,234)	(75,510,436)	(79,840,518)
Business-type activities	89,253	(97,475)	(42,143)	108,502
Total primary government revenues	\$ (75,013,974)	\$ (80,205,709)	\$ (75,552,579)	\$ (79,732,016)

Source: School District Financial Records

	2020	2021	2022	2023	2024	2025
\$	63,560,855	\$ 67,026,119	\$ 63,307,419	\$ 68,265,783	\$ 71,398,406	\$ 71,665,693
	4,213,237	4,252,852	4,054,858	4,212,678	3,984,167	3,838,062
	6,747,058	7,743,761	7,183,309	6,764,335	6,912,237	5,893,457
	7,655,203	7,829,769	8,025,718	9,053,582	10,186,890	8,453,411
	6,773,032	14,154,775	9,343,503	8,275,199	8,308,537	8,621,705
	3,590,979	3,713,690	3,601,615	5,020,124	4,188,693	4,952,848
	98,560	100,174	100,885	95,816	102,175	145,027
	4,335,073	3,998,911	4,204,471	3,395,914	4,145,182	4,307,758
	3,469,718	3,631,522	3,676,429	3,756,855	3,893,683	3,079,830
	4,836,671	5,835,887	6,329,627	6,628,611	6,806,926	6,644,587
	105,280,386	118,287,460	109,827,834	115,468,897	119,926,896	117,602,378
	3,383,351	3,233,525	3,906,770	3,997,776	4,035,142	4,336,028
	275,634	94,216	322,591	356,361	405,877	449,665
	36,875	28,930	48,787	35,497	44,334	42,193
	3,695,860	3,356,671	4,278,148	4,389,634	4,485,353	4,827,886
	108,976,246	121,644,131	114,105,982	119,858,531	124,412,249	122,430,264
	8,264,085	15,423,309	5,862,062	5,676,355	8,652,781	8,261,701
	1,311,115	1,173,853	3,127,088	3,527,439	284,038	533,579
	13,565,519	16,911,925	18,574,583	19,082,722	16,799,747	16,679,952
	-	-	-	-	-	-
	23,140,719	33,509,087	27,563,733	28,286,516	25,736,566	25,475,232
	1,698,882	164,830	410,124	2,118,897	2,127,255	2,232,863
	145,122	187,230	396,824	415,817	407,529	419,091
	34,784	44,786	46,355	35,668	47,735	41,569
	1,587,600	2,690,701	4,634,021	2,353,625	1,838,796	1,678,447
	-	-	-	-	-	-
	3,466,388	3,087,547	5,487,324	4,924,007	4,421,315	4,371,970
	26,607,107	36,596,634	33,051,057	33,210,523	30,157,881	29,847,202
	(82,139,667)	(84,778,373)	(82,264,101)	(87,182,381)	(94,190,330)	(92,127,146)
	(229,472)	(269,124)	1,209,176	534,373	(64,038)	(455,916)
\$	(82,369,139)	\$ (85,047,497)	\$ (81,054,925)	\$ (86,648,008)	\$ (94,254,368)	\$ (92,583,062)

Linn-Mar Community School District

General Revenues and Total Change in Net Position

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	2016	2017	2018	2019
Net (expense) revenues:				
Governmental activities	\$ (80,108,234)	\$ (75,510,436)	\$ (75,510,436)	\$ (79,840,518)
Business-type activities	(97,475)	(42,143)	(42,143)	108,502
Total primary government net expense	(80,205,709)	(75,552,579)	(75,552,579)	(79,732,016)
General revenues and other changes in net position:				
Governmental activities:				
Property taxes levied for:				
General purposes	25,236,614	25,921,202	27,750,578	29,270,203
Capital outlay	3,188,525	3,272,294	3,430,959	3,628,213
Debt service	3,800,343	3,841,998	3,519,010	3,576,418
Revenues in lieu of taxes	-	-	948,662	1,034,904
Sales tax	6,811,318	6,889,195	7,158,956	7,645,473
Unrestricted grants and contributions	41,329,762	42,547,658	35,235,868	36,137,495
Investment earnings	104,072	121,291	186,668	460,739
Miscellaneous	532,864	965,032	380,492	225,605
Total governmental activities	81,003,498	83,558,670	78,611,193	81,979,050
Business-type activities:				
Investment earnings	2,368	3,560	8,596	17,201
Miscellaneous	-	130	5,270	308
Total business-type activities	2,368	3,690	13,866	17,509
Total primary government	81,005,866	83,562,360	78,625,059	81,996,559
Change in net position:				
Governmental activities	895,264	8,048,234	3,100,757	2,138,532
Business-type activities	(95,107)	(38,453)	(28,277)	126,011
Total primary government	\$ 800,157	\$ 8,009,781	\$ 3,072,480	\$ 2,264,543

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
\$ (82,139,667)	\$ 33,509,087	\$ (82,264,101)	\$ (87,182,381)	\$ (94,190,330)	\$ (92,127,146)
(229,472)	3,087,547	1,209,176	534,373	(64,038)	(455,916)
(82,369,139)	36,596,634	(81,054,925)	(86,648,008)	(94,254,368)	(92,583,062)
30,057,518	32,127,472	33,162,658	32,866,428	35,649,364	38,177,133
3,761,188	3,981,114	4,169,860	4,270,100	4,361,108	4,586,216
5,629,795	5,574,919	5,675,629	5,566,037	5,399,130	5,410,857
1,061,475	1,063,781	1,089,172	8,386	497,309	505,783
7,849,426	8,361,729	9,334,763	9,101,935	10,124,583	10,008,279
37,602,906	39,566,400	40,332,066	42,968,413	45,227,773	46,222,210
806,991	210,254	61,307	883,704	2,044,393	1,861,279
191,586	191,090	200,666	294,442	1,079,609	243,542
86,960,885	91,076,759	94,026,121	95,959,445	104,383,269	107,015,299
15,714	3,104	2,346	35,590	97,107	122,110
222	-	-	-	-	-
15,936	3,104	2,346	35,590	97,107	122,110
86,976,821	91,079,863	94,028,467	95,995,035	104,480,376	107,137,409
4,821,218	5,405,176	11,762,020	8,777,064	10,192,939	14,888,153
(213,536)	627,190	1,211,522	569,963	33,069	(333,806)
\$ 4,607,682	\$ 6,032,366	\$ 12,973,542	\$ 9,347,027	\$ 10,226,008	\$ 14,554,347

Linn-Mar Community School District

**Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)**

	2016	2017	2018	2019
General Fund:				
Nonspendable	\$ -	\$ -	\$ -	\$ -
Restricted	1,363,797	1,513,994	1,153,042	1,067,117
Assigned	445,301	476,285	446,136	421,121
Unassigned	8,317,146	8,407,084	8,372,478	8,371,898
Total General Fund	10,126,244	10,397,363	9,971,656	9,860,136
All other governmental funds:				
Nonspendable	-	-	-	-
Restricted for:				
Capital projects funds	15,467,494	7,494,765	6,985,042	13,141,970
Debt service fund	-	4,339,699	4,078,964	4,207,934
Special revenue funds	7,126,623	3,232,304	3,438,057	3,839,507
Total other governmental funds	22,594,117	15,066,768	14,502,063	21,189,411
Total governmental funds	\$ 32,720,361	\$ 25,464,131	\$ 24,473,719	\$ 31,049,547

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
\$ -	\$ -	\$ -	\$ 220,881	\$ 31,178	\$ 701
1,142,203	734,927	431,575	446,035	674,025	341,792
435,330	424,306	464,960	535,797	605,774	574,165
9,481,809	12,795,923	11,416,553	5,866,836	5,780,977	9,278,920
11,059,342	13,955,156	12,313,088	7,069,549	7,091,954	10,195,578
-	-	-	26,243	-	-
18,286,390	13,638,994	8,839,279	24,807,805	32,664,955	20,044,320
4,614,250	858,214	346,134	347,991	542,598	3,357,621
3,387,024	2,587,819	2,682,893	3,284,085	3,056,254	3,044,264
26,287,664	17,085,027	11,868,306	28,466,124	36,263,807	26,446,205
\$ 37,347,006	\$ 31,040,183	\$ 24,181,394	\$ 35,535,673	\$ 43,355,761	\$ 36,641,783

Linn-Mar Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	2016	2017	2018	2019
Local sources:				
Property taxes	\$ 32,225,482	\$ 33,035,494	\$ 34,700,547	\$ 36,849,199
Tuition	4,266,217	4,869,613	5,259,122	5,282,546
Other revenues	2,844,683	3,057,301	3,012,082	3,347,584
Total local sources	39,336,382	40,962,408	42,971,751	45,479,329
Intermediate sources	-	8,000	-	-
State sources:				
Statewide sales and services tax	6,811,318	6,889,195	6,808,180	7,645,473
State grants	45,294,013	46,582,216	47,656,336	48,990,802
Total state sources	52,105,331	53,471,411	54,464,516	56,636,275
Federal sources	2,048,773	2,494,084	2,788,965	2,944,639
Total revenues	\$ 93,490,486	\$ 96,935,903	\$ 100,225,232	\$ 105,060,243

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
\$ 39,710,620	\$ 41,928,435	\$ 43,173,345	\$ 42,702,565	\$ 45,409,602	\$ 48,174,206
5,483,555	5,801,651.00	5,862,063	5,676,356	5,741,848	5,728,232
3,643,355	9,994,702	3,188,393	4,667,461	5,486,449	5,168,631
48,837,530	57,724,788	52,223,801	53,046,382	56,637,899	59,071,069
-	-	-	-	-	-
7,827,053	7,659,411	9,160,188	10,379,010	10,124,583	10,008,279
50,994,455	53,373,190	54,351,928	56,374,182	59,598,324	60,603,023
58,821,508	61,032,601	63,512,116	66,753,192	69,722,907	70,611,302
2,406,666	5,124,051	5,643,185	4,965,445	2,951,300	2,992,012
\$ 110,065.704	\$ 123,881,440	\$ 121,379,102	\$ 124,765,019	\$ 129,312,106	\$ 132,674,383

Linn-Mar Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	2016	2017	2018	2019
Instruction	\$ 52,864,635	\$ 54,341,263	\$ 57,269,830	\$ 61,785,512
Support services:				
Student services	3,704,754	4,322,032	4,301,729	4,183,675
Instructional staff support services	5,382,209	5,622,911	6,151,635	6,137,836
Administrative services	6,932,883	6,999,671	7,104,822	7,379,834
Plant operation and maintenance	6,567,506	6,499,306	6,692,844	6,866,139
Transportation services	2,782,122	2,829,377	3,020,658	3,049,862
Non-instructional programs	128,979	123,241	98,406	92,559
Capital outlay	19,381,436	9,448,106	3,251,094	5,899,443
AEA flowthrough	3,055,116	3,107,129	3,239,555	3,339,090
Debt service:				
Principal	5,780,000	23,870,000	7,165,000	7,140,000
Interest and fiscal charges	2,933,691	3,098,806	2,960,809	2,759,588
Total expenditures	\$ 109,513,331	\$ 120,261,842	\$ 101,256,382	\$ 108,633,538
Debt service as a percentage of noncapital expenditures	24.49%	24.34%	10.33%	9.67%

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
\$ 61,121,222	\$ 64,622,740	\$ 69,098,015	\$ 71,976,820	\$ 72,868,282	\$ 73,196,533
3,999,730	4,090,362	4,529,872	4,546,359	4,131,189	3,987,714
6,458,399	7,503,729	7,976,196	7,244,471	7,124,874	6,118,820
7,322,820	7,902,558	8,739,425	9,016,806	9,896,883	9,424,546
6,633,353	8,004,715	8,480,781	8,849,083	8,681,410	10,066,154
3,025,804	3,069,944	3,204,969	4,526,833	3,595,810	4,382,824
96,490	98,866	105,543	98,611	103,396	146,600
58,181,188	18,177,773	5,132,574	6,240,426	14,633,359	24,487,162
3,469,718	3,631,522	3,676,429	3,756,855	3,893,683	3,079,830
20,915,000	8,330,000	56,573,771	8,027,645	10,242,073	9,757,255
5,152,986	4,568,499	4,892,749	4,164,954	4,701,459	4,814,242
\$ 176,376,710	\$ 130,000,708	\$ 172,410,324	\$ 128,448,863	\$ 139,872,418	\$ 149,461,680
22.10%	11.00%	36.50%	10.02%	11.98%	11.80%

Linn-Mar Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	2016	2017	2018	2019
Excess (deficiency) of revenues over (under) expenditures	\$ (16,022,845)	\$ (23,325,939)	\$ (1,031,150)	\$ (3,573,295)
Other financing sources (uses):				
Transfer in	6,001,233	7,173,507	6,277,163	6,267,600
Transfer out	(6,001,233)	(7,173,507)	(6,277,163)	(6,267,600)
Sale of equipment	13,676	121,496	40,738	55,820
Sale of real property	-	-	-	-
Issuance of lease	-	-	-	-
Insurance proceeds	-	-	-	-
Capital loan note issuance	10,000,000	-	-	-
Revenue bond issuance	10,000,000	-	-	-
General obligation refunding bonds issued	-	14,125,000	-	-
General obligation bonds issued	-	-	-	10,000,000
Net premiums/discounts on bond issuances	-	1,823,213	-	93,303
Total other financing sources (uses)	20,013,676	16,069,709	40,738	10,149,123
Net change in fund balances	\$ 3,990,831	\$ (7,256,230)	\$ (990,412)	\$ 6,575,828

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
\$ (66,311,006)	\$ (6,119,268)	\$ (51,031,222)	\$ (3,683,844)	\$ (10,560,312)	\$ (16,787,297)
6,277,875	7,287,302	10,857,635	6,392,183	9,259,352	8,868,626
(6,277,875)	(7,487,932)	(10,857,635)	(6,392,183)	(9,259,352)	(8,868,626)
18,565	13,075	35,468	38,123	40,297	3,238
-	-	-	-	-	-
-	-	-	-	678,396	-
-	-	-	-	792,227	-
-	-	-	-	-	-
15,000,000	-	41,615,000	15,000,000	16,365,000	10,000,000
-	-	-	-	-	-
53,580,000	-	-	-	-	-
4,009,900	-	2,521,965	-	504,480	70,081
72,608,465	(187,555)	44,172,433	15,038,123	18,380,400	10,073,319
\$ 6,297,459	\$ (6,306,823)	\$ (6,858,789)	\$ 11,354,279	\$ 7,820,088	\$ (6,713,978)

Linn-Mar Community School District

General Fund Expenditures By Function and Other Financing Uses

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

Fiscal Year Ended June 30,	Instruction	Support Services	Non- Instructional Programs	Other Expenditures	Total Expenditures	Other Financing Uses
2025	\$ 69,958,342	\$ 30,517,543	\$ -	\$ 3,079,830	\$ 103,555,715	\$ -
2024	70,062,172	30,779,648	-	3,893,683	104,735,503	23,370
2023	69,602,817	31,672,243	-	3,756,855	105,031,915	52,475
2022	66,505,187	30,978,512	-	3,676,429	101,160,128	25,043
2021	61,679,263	28,324,556	-	3,631,522	93,635,341	217,311
2020	58,656,871	25,623,259	-	3,469,718	87,749,848	16,419
2019	57,302,699	26,049,740	-	3,339,090	86,691,529	18,378
2018	54,761,167	25,888,505	-	3,239,555	83,889,227	26,974
2017	51,922,604	24,630,371	-	3,107,129	79,660,104	12,281
2016	49,997,441	23,747,703	-	3,055,116	76,800,260	-

Source: School District Financial Records

Linn-Mar Community School District

General Fund Revenues By Function and Other Financing Sources
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

Fiscal Year Ended June 30,	Local Tax	State	Federal	Miscellaneous	Total Revenues	Other Financing Sources
2025	\$ 35,502,418	\$ 60,470,484	\$ 2,992,012	\$ 7,691,187	\$ 106,656,101	\$ 3,238
2024	33,999,444	59,473,964	2,951,300	8,282,877	104,707,585	73,693
2023	30,447,363	56,237,600	4,965,445	8,152,320	99,802,728	38,123
2022	31,915,239	54,075,610	5,643,185	7,873,601	99,507,635	35,468
2021	31,233,343	53,105,425	5,124,051	7,272,572	96,735,391	13,075
2020	29,167,045	50,716,753	2,386,666	6,676,444	88,946,908	18,565
2019	28,141,026	48,779,896	2,944,639	6,677,006	86,542,567	18,378
2018	26,546,671	47,435,997	2,788,965	6,678,123	83,449,756	40,738
2017	24,785,704	46,347,416	2,494,084	6,253,052	79,880,256	63,248
2016	23,986,903	45,028,110	2,048,773	5,443,165	76,506,951	13,676

Source: School District Financial Records

Linn-Mar Community School District

**Assessed Value and Actual Value of Taxable Property
Last Ten Fiscal Years
(Unaudited)**

Assessment Year	Collection Year	Actual Value			Less Exemptions	Total Taxable Value	Total Direct Rate
		Residential Property	Commercial Property	Other Property			
2023	2024-25	4,349,862,617	727,148,074	223,118,674	2,541,838,650	2,758,290,715	17.99339
2022	2023-24	3,518,405,314	672,623,289	206,829,884	1,771,779,411	2,626,079,076	17.89319
2021	2022-23	3,240,618,500	683,971,594	353,532,384	1,652,043,402	2,626,079,076	17.35888
2020	2021-22	2,993,446,620	673,573,424	317,751,102	1,485,959,449	2,498,811,697	17.86914
2019	2020-21	2,937,227,110	644,924,054	309,826,169	1,498,299,701	2,393,677,632	18.01155
2018	2019-20	2,745,045,400	601,843,697	299,287,927	1,366,612,361	2,279,564,663	18.01522
2017	2018-19	2,669,255,000	586,958,767	284,640,379	1,356,598,618	2,184,255,528	17.37262
2016	2017-18	2,523,208,100	494,562,506	275,862,298	1,244,913,378	2,048,719,526	17.37544
2015	2016-17	2,436,608,100	484,766,546	267,382,298	1,233,351,437	1,955,405,507	17.37723
2014	2015-16	2,353,842,868	548,360,758	183,971,846	1,182,203,330	1,903,972,142	17.37861

Source: Linn County Auditor

Linn-Mar Community School District

Property Tax Levies And Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Levy	Collected within the Levy Year		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of the Levy		Amount	Percentage of the Levy
2025	\$ 48,198,098	\$ 48,174,206	99.95%	\$ -	\$ 48,174,206	99.95%
2024	45,646,314	45,409,603	99.48%	-	45,409,603	99.48%
2023	43,234,849	42,866,098	99.15%	-	42,866,098	99.15%
2022	43,038,251	43,080,640	100.10%	-	43,080,640	100.10%
2021	41,855,488	41,570,586	99.32%	-	41,570,586	99.32%
2020	39,890,612	39,626,560	99.34%	-	39,626,560	99.34%
2019	36,643,522	36,515,841	99.65%	129,612	36,645,453	100.01%
2018	34,611,614	34,548,420	99.82%	75,617	34,624,036	100.04%
2017	32,941,467	32,848,881	99.72%	82,864	32,931,745	99.97%
2016	32,160,080	32,050,116	99.66%	100,781	32,150,896	99.97%

Source: School District Financial Records

Linn-Mar Community School District

**Property Tax Rates Per \$1,000 Assessed Valuation
All Direct and Overlapping Governments
Last Ten Fiscal Years
(Unaudited)**

Levy Year	Collection Year	City of Cedar Rapids	City of Marion	City of Robins
2023	2024-25			
	County	6.07222	6.07222	6.07222
	Schools	17.99339	17.99339	17.99339
	City	16.4662	14.80314	7.44063
	Miscellaneous	1.74705	1.70804	1.70804
	Total Levy	42.27886	40.57679	33.21428
Ratio of Linn-Mar Community School District to Total		42.56%	44.34%	54.17%
2022	2023-24			
	County	5.95691	5.95691	5.95691
	Schools	17.89319	17.89319	17.89319
	City	16.2462	15.0339	5.54276
	Miscellaneous	1.72463	1.69279	3.82142
	Total Levy	41.82093	40.57679	33.21428
Ratio of Linn-Mar Community School District to Total		42.79%	44.10%	53.87%
2021	2022-23			
	County	5.84664	5.84664	5.84664
	Schools	17.35888	17.35888	17.35888
	City	16.0262	14.20203	7.73546
	Miscellaneous	2.30929	2.30794	1.66633
	Total Levy	41.54101	39.71549	32.60731
Ratio of Linn-Mar Community School District to Total		41.79%	43.71%	53.24%
2020	2021-22			
	County	6.24304	6.24304	6.24304
	Schools	17.86914	17.86914	17.86914
	City	15.8762	14.19976	7.77354
	Miscellaneous	1.63416	1.63363	1.63363
	Total Levy	41.62254	39.94557	33.51935
Ratio of Linn-Mar Community School District to Total		42.93%	44.73%	53.31%

(Continued)

Linn-Mar Community School District

**Property Tax Rates Per \$1,000 Assessed Valuation
All Direct and Overlapping Governments (continued)
Last Ten Fiscal Years
(Unaudited)**

Levy Year	Collection Year	City of Cedar Rapids	City of Marion	City of Robins
2019	2020-21			
	County	6.40442	6.40442	6.40442
	Schools	18.01155	18.01155	18.01155
	City	15.65620	14.21502	7.77077
	Miscellaneous	1.58522	1.58314	1.58314
	Total Levy	41.65739	40.21413	33.76988
Ratio of Linn-Mar Community School District to Total		43.24%	44.79%	53.34%
2018	2019-20			
	County	5.83902	5.83902	5.83902
	Schools	18.01522	18.01522	18.01522
	City	15.43621	14.22338	7.71136
	Miscellaneous	1.52375	1.55618	1.55618
	Total Levy	40.8142	39.6338	33.12178
Ratio of Linn-Mar Community School District to Total		44.14%	45.45%	54.39%
2017	2018-19			
	County	5.83902	5.83902	5.83902
	Schools	17.37262	17.37262	17.37262
	City	15.21621	14.22338	7.92171
	Miscellaneous	1.55739	1.55364	1.55364
	Total Levy	39.98524	38.98866	32.68699
Ratio of Linn-Mar Community School District to Total		43.45%	44.56%	53.15%
2016	2017-18			
	County	6.14108	6.14108	6.14108
	Schools	17.37544	17.37544	17.37544
	City	15.21621	13.98943	7.67714
	Miscellaneous	1.51391	1.50398	1.50398
	Total Levy	40.24664	39.00993	32.69764
Ratio of Linn-Mar Community School District to Total		43.17%	44.54%	53.14%

(Continued)

Linn-Mar Community School District

**Property Tax Rates Per \$1,000 Assessed Valuation
All Direct and Overlapping Governments (continued)
Last Ten Fiscal Years
(Unaudited)**

Levy Year	Collection Year	City of Cedar Rapids	City of Marion	City of Robins
2015	2016-17			
	County	6.14108	6.14108	6.14108
	Schools	17.37723	17.37723	17.37723
	City	15.21621	13.82108	7.96103
	Miscellaneous	1.48018	1.45693	1.45693
	Total Levy	40.2147	38.79632	32.93627
Ratio of Linn-Mar Community School District to Total		43.21%	44.79%	52.76%
2014	2015-16			
	County	6.14225	6.14225	6.14225
	Schools	17.37861	17.37861	17.37861
	City	15.21621	13.58625	7.97127
	Miscellaneous	1.44038	1.47354	1.47354
	Total Levy	40.17745	38.58065	32.96567
Ratio of Linn-Mar Community School District to Total		43.25%	45.04%	52.72%

Source: Linn County Auditor

Linn-Mar Community School District

**Property Tax Rates By Fund Per \$1,000 Assessed Valuation
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year Ending 30-Jun	General	Management	Board Physical Plant and Equipment	Playground	Board Physical Plant and Equipment	Debt Service	Total
2025	13.27830	0.93981	0.33000	0.13500	1.34000	1.97028	17.99339
2024	13.42541	0.59529	0.33000	0.13500	1.34000	2.06749	17.89319
2023	12.43702	0.94003	0.33000	0.13500	1.34000	2.17683	17.35888
2022	13.34786	0.44324	0.33000	0.13500	1.34000	2.27304	17.86914
2021	13.51903	0.34895	0.33000	0.13500	1.34000	2.33857	18.01155
2020	13.34617	0.36405	0.33000	0.13500	1.34000	2.50000	18.01522
2019	13.41665	0.50486	0.33000	0.13500	1.34000	1.64611	17.37262
2018	13.38276	0.47490	0.33000	0.13500	1.34000	1.71278	17.37544
2017	13.14183	0.47075	0.33000	0.13500	1.34000	1.95965	17.37723
2016	13.03448	0.54742	0.33000	0.13500	1.34000	1.99171	17.37861

Source: School District Financial Records

Linn-Mar Community School District

**Principal Property Taxpayers
Current Year and Nine Years Ago
(Unaudited)**

Taxpayer	2023 Value 1/1/2021	Percentage of Total Taxable Value Valuation *	2014 Value 1/1/2012	Percentage of Total Taxable Value Valuation **
Rockwell Collins Inc	\$ 36,027,081	1.31%	\$ 10,660,698	0.56%
Lindale Mall Realty Holding LLC	25,779,017	0.93%		0.00%
JE Pense LLC	21,517,774	0.78%		0.00%
Northtowne Market Lot 7	16,499,466	0.60%		0.00%
PR Indian Creek Propco LLC	13,058,892	0.47%		0.00%
Kwik Trip Inc	11,910,523	0.43%		0.00%
Wal-Mart Real Estate Business Trust	11,572,054	0.42%	12,341,790	0.65%
Apple Ten Hospitality Ownership Inc	10,690,415	0.39%	9,210,726	0.48%
RCG-Collins CV LLC & MAK Collins	10,447,863	0.38%		0.00%
Target Corporation T-1768	9,867,184	0.36%	757,776	0.04%
Integrity Companies LLC	8,745,352	0.32%		0.00%
DMFA LLC	8,745,196	0.32%		0.00%
Atlas Limited Partnership	8,740,036	0.32%		0.00%
The Shops at Collins Square LLC	8,577,485	0.31%	10,607,940	0.56%
National Retail Properties LP	7,640,798	0.28%	6,458,671	0.34%
SDG Macerich Properties			34,422,085	1.81%
Atrium Finance			8,191,230	0.43%
Marion Senior Development LLC			8,115,930	0.43%
Timberland Partners			7,329,722	0.38%
Keystone Place LLC			7,150,481	0.38%
Azure Corp			6,698,163	0.35%
Total	<u>\$ 209,819,136</u>	7.61%	<u>\$ 121,945,212</u>	6.05%

* 2023 Total District Taxable Valuation is \$ 2,758,290,715

** 2014 Total District Taxable Valuation was \$ 1,903,972,142

Note: The 2024 valuation was reported because the taxes collected during the 2023 fiscal year was based on the 2022 valuation.

Source: Linn County Auditor

Linn-Mar Community School District

**Ratio of Bonded Debt to Assessed Values
And Bonded Debt Per Capita
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Assessed Values of Property	General Obligation Bonds	Ratio of Bonded Debt To Assessed Value	Bonded Debt Per Capita
2025	\$ 5,300,129,365	\$ 57,425,000	1.08%	\$ 866
2024	4,398,713,016	60,695,000	1.38%	869
2023	4,286,950,962	63,805,000	1.56%	976
2022	3,987,850,617	66,965,000	1.84%	1,054
2021	3,888,893,753	73,194,807	1.91%	994
2020	3,643,041,588	74,298,508	2.13%	1,132
2019	3,540,854,146	77,632,489	0.95%	494
2018	3,293,632,904	33,556,048	0.76%	385
2017	3,188,756,944	25,000,000	0.86%	428
2016	3,086,175,472	27,305,000	1.05%	503

Source: District Financial Records, Woods & Poole Economics

Notes: Percentage personal Income and Per Capita figures are based upon Cedar Rapids Metropolitan Statistical Area Data from the corresponding calendar year.

Linn-Mar Community School District

**Outstanding Debt By Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Bonds	Revenue Bonds	Capital Loan Notes	Leases	Total Primary Government	Ratio Of Bonded Debt To Personal Income *	Per Capita*
2025	\$ 57,425,000	\$66,175,000	\$ -	\$ 752,938	\$ 124,352,938	0.89%	\$ 451
2024	66,199,847	61,280,000	1,210,000	925,193	129,615,040	0.86%	450
2023	69,293,981	50,725,000	2,395,000	383,870	122,797,851	0.84%	426
2022	73,194,807	39,280,000	3,555,000	508,308	116,538,115	0.85%	424
2021	74,298,508	49,925,000	4,690,000	-	128,913,508	0.84%	471
2020	77,632,489	54,295,000	5,800,000	-	137,727,489	0.95%	505
2019	33,556,048	45,990,000	6,885,000	-	86,431,048	0.60%	313
2018	25,000,000	49,490,000	7,945,000	-	82,435,000	0.60%	306
2017	27,305,000	53,310,000	8,985,000	-	89,600,000	0.67%	335
2016	32,335,000	57,010,000	10,000,000	-	99,345,000	0.78%	372

Source: School District Financial Records.

* See Micellaneous Demographic Statistics on page 103. These ratios are calculated using personal income and population for the prior calendar year.

Linn-Mar Community School District

Pledged Revenue Coverage

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Local Option Sales Tax Revenue Bonds				Capital Loan Notes			
	Revenue	Debt Service		Coverage	Revenue	Debt Service		Coverage
		Principal	Interest			Principal	Interest	
2025	\$ 10,008,279	\$ 5,105,000	\$ 570,180	1.76	\$ 5,410,857	\$ 1,210,000	\$ 23,595	4.39
2024	10,124,583	5,810,000	2,072,905	1.28	4,361,108	1,185,000	53,888	3.52
2023	10,379,010	3,555,000	1,421,926	2.09	4,270,100	1,160,000	669,323	2.33
2022	9,160,188	52,260,000	1,552,467	0.17	4,186,213	1,135,000	91,455	3.41
2021	7,659,411	4,370,000	1,675,024	1.27	4,007,742	1,110,000	113,100	3.28
2020	7,827,053	6,695,000	1,988,995	0.99	3,788,158	1,085,000	134,258	3.11
2019	7,618,440	3,500,000	1,492,138	1.53	3,665,765	1,060,000	154,927	3.00
2018	6,808,180	3,820,000	1,583,105	1.26	3,403,026	1,040,000	175,208	2.80
2017	6,889,195	3,700,000	1,677,229	1.28	3,364,875	1,015,000	195,000	3
2016	6,811,318	2,530,000	1,634,525	1.64	3,290,745	-	-	n/a

Source: School District Financial Records

Linn-Mar Community School District

**Computation of Legal Debt Margin
Last Ten Fiscal Years
(Unaudited)**

	2024-2025	2023-2024	2022-2023	2021-2022
Total Assessed Valuation	\$ 5,201,573,186	\$ 4,291,869,220	\$ 4,138,060,271	\$ 3,987,850,617
Bonded Debt Limit * 5% of assessed valuation	260,078,659	214,593,461	206,903,014	199,392,531
Bonded Debt at end of fiscal year	58,177,938	62,830,193	66,583,870	77,258,115
Debt Margin at end of fiscal year	\$201,900,721	\$151,763,268	\$140,319,144	\$122,134,416
Legal Debt Margin as a Percentage of debt limit	77.63%	70.72%	67.82%	61.25%

* Code of Iowa Section 296.1

Source: Linn County Auditor
School District Financial Records

2020-2021	2019-2020	2018-2019	2017-2018	2016-2017	2015-2016
\$ 3,888,893,753	\$ 3,643,041,588	\$ 3,540,854,146	\$ 3,293,632,904	\$ 3,188,756,944	\$ 3,086,175,472
194,444,688	182,152,079	177,042,707	164,681,645	159,437,847	154,308,774
124,630,000	132,960,000	86,431,048	82,435,000	89,600,000	99,345,000
\$69,814,688	\$49,192,079	\$90,611,659	\$82,246,645	\$69,837,847	\$54,963,774
35.90%	27.01%	51.18%	49.94%	43.80%	35.62%

Linn-Mar Community School District

Computation of Direct and Overlapping Debt Last Ten Fiscal Years (Unaudited)

	Gross General Obligation Debt Outstanding	Percentage Applicable to Governmental Unit *	Linn-Mar Community School District Share of Debt
Direct:			
Linn-Mar Community School District	\$ 57,425,000	100%	\$ 57,425,000
Overlapping:			
City of Cedar Rapids	428,550,000	11.08%	47,483,340
City of Marion	87,390,000	74.46%	65,070,594
City of Robbins	4,105,000	24.22%	994,231
Kirkwood Community College	52,980,000	8.49%	4,498,002
Linn County	53,740,000	19.15%	10,291,210
Total Overlapping	<u>626,765,000</u>		<u>128,337,377</u>
Total Direct and Overlapping Debt	<u>\$ 684,190,000</u>		<u>\$ 185,762,377</u>

Source: Linn County Auditor

Notes: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the district. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the district. This process recognizes that, when considering the district's ability to issue and repay long-term debt, the entire burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the district's boundaries and dividing it by each unit's total taxable value.

Linn-Mar Community School District

Miscellaneous Demographic Statistics

Last Ten Fiscal Years

(Unaudited)

Calendar Year	Population	Personal Income	Per Capita Income	Cedar Rapids Retail Sales (In Millions)	Marion Retail Sales (In Millions)	Linn-County Unemployment Rate	State Unemployment Rate
2024	278,680	\$ 14,910,580,000	66,079	\$ 3,678	\$ 460	4.10%	3.70%
2023	277,080	14,274,300,000	65,860	3,712	457	3.70%	2.80%
2022	275,590	14,009,992,000	62,457	3,450	486	3.00%	3.00%
2021	275,043	13,691,370,000	57,428	3,495	465	3.10%	2.60%
2020	273,885	15,329,730,000	52,032	3,254	407	6.40%	5.30%
2019	273,032	14,509,845,000	53,143	3,216	386	3.10%	2.90%
2018	272,295	14,205,142,000	52,168	3,205	375	3.40%	2.50%
2017	269,330	13,655,838,990	50,703	3,215	371	3.50%	3.10%
2016	267,447	13,375,291,917	50,011	3,191	364	3.70%	3.50%
2015	266,998	12,816,704,994	48,003	3,526	457	3.90%	3.80%

Source : Cedar Rapids Chamber of Commerce, Woods & Poole Economics
Iowa Department of Employment Services, Iowa Retail Sales & Use Tax Report

Note: The information provided in this chart is collected on a calendar year basis,
so data for 2024 is not yet available.

Linn-Mar Community School District

**New Commercial and Industrial Building Permits
Last Ten Fiscal Years
(Unaudited)**

Year	City of Cedar Rapids New Commerical		City of Marion New Commerical	
	# of Permits	Valuation	# of Permits	Valuation
2024	49	\$ 197,311,915	7	\$ 3,829,031
2023	62	202,803,124	12	38,103,046
2022	0	-	14	19,814,474
2021	64	245,534,637	24	19,158,158
2020	37	110,416,893	51	32,141,887
2019	68	151,217,754	19	93,465,481
2018	54	130,642,804	13	22,230,151
2017	59	118,816,581	25	39,427,284
2016	65	95,888,669	16	12,384,735
2015	38	75,376,545	14	6,420,879

Year	City of Cedar Rapids New Industrial		City of Marion New Industrial	
	# of Permits	Valuation	# of Permits	Valuation
2024	N/A		N/A	\$ -
2023	N/A	-	N/A	-
2022	0	-	0	-
2021	0	-	0	-
2020	0	-	0	-
2019	0	-	0	-
2018	0	-	0	-
2017	0	-	0	-
2016	0	-	0	-
2015	0	-	9	16,380,099

Source: City of Cedar Rapids Building Department
City of Marion

Note: The information provided in this chart is collected on a calendar year basis, so data for 2024 is not yet available.

Linn-Mar Community School District

**New Single and Multi Family Dwelling Permits
Last Ten Fiscal Years
(Unaudited)**

Year	City of Cedar Rapids Single-Family		City of Marion Single-Family		
	# of Permits	Valuation	# of Permits	Valuation	
2024	134	\$ 35,728,828	95	\$ 28,697,635	
2023	107	29,693,817	88	10,574,131	
2022	127	40,339,132	107	12,778,221	
2021	154	40,501,632	204	24,175,903	
2020	126	23,599,349	187	22,935,544	
2019	145	24,545,867	145	18,245,222	
2018	134	14,866,721	160	19,448,950	
2017	214	22,667,477	171	21,027,035	
2016	219	22,354,265	164	19,773,834	
2015	268	23,607,356	202	26,212,686	
2014	325	34,621,397	145	17,599,562	
2013	246	24,631,630	184	22,646,922	

Year	City of Cedar Rapids Multi-Family		City of Marion Multi-Family		
	# of Permits	Valuation	# of Permits	Valuation	
2024	33	\$ 20,550,144	19 (207 units)	\$ 37,632,988	
2023	27	11,156,000	6 (22 units)	1,664,266	
2022	N/A	N/A	5 (220 units)	18,786,831	
2021	15	6,462,110	15 (52 units)	5,074,570	
2020	28	9,682,284	15	5,621,330	
2019	44(n/a)	13,919,886	8(n/a)	6,798,297	
2018	31(n/a)	5,083,622	21 (n/a)	7,193,136	
2017	42(n/a)	7,455,378	29(n/a)	8,638,905	
2016	46(n/a)	6,783,769	27(n/a)	7,329,250	
2015	31(n/a)	5,342,262	13(n/a)	11,019,666	
2014	27(n/a)	10,432,216	15(n/a)	4,233,891	
2013	24(n/a)	4,370,772	12(n/a)	3,713,484	

Source: City of Cedar Rapids Building Department
City of Marion

Note: The information provided in this chart is collected on a calendar year basis,
so data for 2023 is not yet available.



Linn-Mar Community School District

**Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

	2025		2016
Employer	Employees	Percentage of Total Employment	Employees
Collins Aerospace	8,700	28.64%	NA
UnityPoint Health - St. Luke's Hospital	5,525	18.19%	NA
Cedar Rapids Community School District	2,879	9.48%	NA
Mercy Medical Center	2,140	7.05%	NA
Transamerica Companies	2,000	6.58%	NA
Linn-Mar Community School District	1,436	4.73%	NA
City of Cedar Rapids	1,326	4.37%	NA
UFG Insurance	1,080	3.56%	NA
Quaker Foods & Snacks a Division of Pepsico Inc.	1,050	3.46%	NA
BAE Systems	950	3.13%	NA
College Community School District	929	3.06%	NA
Kirkwood Community College	810	2.67%	NA
General Mills	800	2.63%	NA
Nordstrom	750	2.47%	NA
Total	30,375	100.00%	NA

Source: Cedar Rapids Area Chamber of Commerce

Source: Cedar Rapids Area Chamber of Commerce

NA- Not available

Linn-Mar Community School District

**Full-Time-Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)**

	Fiscal Year			
	2016	2017	2018	2019
Administration				
Superintendent	1.0	1.0	1.0	1.0
Associate Superintendent	1.0	1.0	1.0	1.0
Principals	10.0	10.0	10.0	10.0
Assistant Principals	9.0	9.0	9.0	10.0
Deans	1.0	2.0	2.0	2.0
School Admin. Manager	7.0	7.0	7.0	7.0
Other Administrators	5.0	5.0	4.0	4.0
Supervisors	8.0	7.0	7.0	6.0
Instructors				
Regular Program Teachers	419.4	417.2	433.7	438.2
Special Education Teachers	65.0	65.5	63.0	63.5
Student Services				
Guidance Counselors	18.0	19.0	19.0	20.0
Media Specialists	10.0	10.0	10.0	10.0
Curriculum Coordinators	5.0	5.0	6.0	6.0
Other Licensed Staff	7.0	7.0	9.0	9.5
Other Coordinators	9.0	9.0	12.0	12.0
Support Personnel				
Nurse	4.5	5.5	4.5	5.5
Clerical	42.5	41.0	39.5	41.6
Paraeducators	212.5	224.7	248.0	267.5
Custodial & Maintenance	70.1	70.5	71.3	69.2
Food Service	54.0	54.0	57.8	53.5
Bus Drivers	30.0	30.0	30.9	32.2
Total	989.0	1,000.4	1,045.6	1,069.7

Source: District Personnel Records

Fiscal Year					
2020	2021	2022	2023	2024	2025
1.0	1.0	1.0	1.0	1.0	1.0
1.0	1.0	2.0	2.0	2.0	1.0
10.0	12.0	12.0	12.0	12.0	12.0
9.0	9.0	9.0	7.0	7.0	7.0
2.0	2.0	2.0	4.0	4.0	4.0
7.0	7.0	6.0	7.0	7.0	7.0
4.0	4.0	4.0	4.0	8.0	4.0
7.0	10.0	9.0	17.0	23.0	21.0
449.2	461.8	468.3	441.0	438.0	447.0
64.0	70.0	74.5	81.0	72.0	76.0
20.0	21.0	22.0	23.0	23.0	23.0
10.0	12.0	12.0	12.0	12.0	12.0
6.0	7.0	6.0	3.0	3.0	3.0
10.0	11.0	9.0	22.0	14.0	14.0
11.0	9.0	9.0	9.0	8.0	7.0
5.5	6.0	6.0	6.0	6.0	6.0
41.6	44.6	44.6	46.0	46.0	46.0
278.9	256.1	280.5	288.0	272.0	264.0
67.2	78.6	78.6	62.0	71.0	71.0
52.4	56.9	70.0	72.0	80.0	81.0
33.8	33.5	27.3	39.0	46.0	50.0
1,090.6	1,113.5	1,152.8	1,158.0	1,155.0	1,157.0

Linn-Mar Community School District

**Property Values, Construction and Bank Deposits
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year Ended June 30,		Insured Property Value		Expenditures For Construction		Bank Deposit *
2025	\$	419,260,548	\$	23,055,221	\$	1,874,633
2024		419,260,548		11,879,773		1,924,488
2023		360,446,025		5,662,958		7,379,143
2022		306,375,386		4,258,631		22,496,082
2021		309,750,827		18,052,849		25,340,418
2020		249,044,798		58,181,188		21,973,487
2019		242,049,566		5,899,442		20,609,541
2018		213,573,152		3,239,412		19,668,746
2017		213,076,371		9,448,106		20,017,152
2016		208,651,988		19,381,435		19,619,302

* School District's General Fund & Management Fund bank deposits at June 30 amounts do not include investments.

Source: Bouslog Insurance, Inc.
True North Insurance
District Financial Records

Linn-Mar Community School District

**Operating Cost Per Pupil
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Total Costs *	Average Daily Attendance	Operating Costs Per Pupil
2024-2025	\$ 103,572,557	6,723	15,405
2023-2024	104,735,503	6,947	15,076
2022-2023	105,031,915	6,843	15,349
2021-2022	101,160,128	6,909	14,641
2020-2021	93,852,652	7,265	12,919
2019-2020	87,749,848	7,315	11,996
2018-2019	86,709,904	7,232	11,990
2017-2018	83,889,227	7,224	11,613
2016-2017	79,674,924	7,140	11,158
2015-2016	76,800,261	7,001	10,970

* Includes all General Fund expenditures and transfers out

Source: School District financial and attendance reports

Linn-Mar Community School District

**School Building Information
Last Ten Fiscal Years
(Unaudited)**

School	2016	2017	2018	2019
Elementary				
Bowman Woods				
Square Feet	50,906	50,906	50,906	50,906
Capacity	550	550	550	550
Enrollment	484	482	456	456
Echo Hill				
Square Feet	78,000	78,000	78,000	78,000
Capacity	600	600	600	600
Enrollment	612	610	564	564
Indian Creek				
Square Feet	49,200	49,200	49,200	49,200
Capacity	500	500	500	500
Enrollment	516	529	564	564
Linn Grove				
Square Feet	78,000	78,000	78,000	78,000
Capacity	600	600	600	600
Enrollment	562	568	530	530
Novak				
Square Feet	78,000	78,000	78,000	78,000
Capacity	600	600	600	600
Enrollment	529	547	591	591
Westfield				
Square Feet	58,000	66,763	66,763	66,763
Capacity	500	600	600	600
Enrollment	437	427	552	552
Wilkins				
Square Feet	48,800	48,800	48,800	48,800
Capacity	500	500	500	500
Enrollment	465	446	423	423

Notes: Over time some of the buildings capacity have actualy decreased due to the inclusion of additonal special programs

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
50,906	50,906	50,906	50,906	50,906	50,906
550	550	550	550	550	550
543	431	433	436	436	448
78,000	78,000	78,000	78,000	78,000	78,000
600	600	600	600	600	600
528	503	533	550	550	556
49,200	49,200	49,200	49,200	49,200	49,200
500	500	500	500	500	500
540	421	427	412	412	373
78,000	78,000	78,000	78,000	78,000	78,000
600	600	600	600	600	600
557	460	447	413	413	420
78,000	78,000	78,000	78,000	78,000	78,000
600	600	600	600	600	600
539	397	404	371	371	373
66,763	66,763	66,763	66,763	66,763	66,763
600	600	600	600	600	600
605	515	477	509	509	482
48,800	48,800	48,800	48,800	48,800	48,800
500	500	500	500	500	500
432	368	380	387	387	377

Linn-Mar Community School District

School Building Information (Continued)
Last Ten Fiscal Years
(Unaudited)

School	2016	2017	2018	2019
Middle School/Intermediate ^a				
Boulder Peak				
Square Feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Hazel Point				
Square Feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Excelsior ^a				
Square Feet	126,700	126,700	126,700	126,700
Capacity	1,100	1,100	1,100	1,100
Enrollment	947	974	953	953
Oak Ridge ^c				
Square Feet	117,013	119,712	119,712	119,712
Capacity	800	800	800	800
Enrollment	756	753	768	768
High School/Junior High ^b				
Square Feet	315,478	302,704	302,704	302,704
Capacity	2,200	2,400	2,400	2,400
Enrollment	2,012	2,061	2,168	2,168

Notes: Over time some of the buildings capacity have actualy decreased due to the inclusion of additonal special programs

^a Excelsior Middle School opened back in 1995 as an intermediate school and was added onto 1999 and converted into a middle school.

^b The High school started out as two separate buildings; the high school and junior high. Over time they were both added onto and are now one large building.

^c With the opening of Echo Hill elementary school at the start of the 2008-2009 school year, Oak Ridge school was converted from a PreK-8 school to a middle school.

Source: School District Financial Records

2020	2021	2022	2023	2024	2025
-	135,203	135,203	135,203	135,203	135,203
-	800	800	800	800	800
-	639	613	587	587	646
-	135,203	135,203	135,203	135,203	135,203
-	800	800	800	800	800
-	529	551	571	571	591
126,700	126,700	126,700	126,700	126,700	126,700
1,100	1,100	1,100	1,100	1,100	1,100
946	634	635	654	654	618
119,712	119,712	119,712	119,712	119,712	119,712
800	800	800	800	800	800
831	540	542	576	576	557
302,704	302,704	302,704	302,704	302,704	302,704
2,400	2,400	2,400	2,400	2,400	2,400
2,218	2,222	2,250	2,185	2,185	2,362

Linn-Mar Community School District

Solvency Ratio Last Ten Fiscal Years (Unaudited)

School Year	Unassigned & Assigned General Fund Balance	Actual Revenues	Financial Solvency Ratio
2024-2025	\$ 9,853,085	103,576,271	9.51%
2023-2024	6,386,751	100,813,902	6.34%
2022-2023	6,402,633	99,802,728	6.42%
2021-2022	11,881,513	99,507,635	11.94%
2020-2021	13,220,229	96,748,466	13.66%
2019-2020	9,917,139	88,946,908	11.15%
2018-2019	8,793,020	86,598,385	10.15%
2017-2018	8,818,614	83,490,494	10.56%
2016-2017	8,880,831	79,943,505	11.11%
2015-2016	8,762,447	76,520,627	11.45%

* Financial Solvency Ratio =
$$\frac{\text{Unassigned \& Assigned General Fund Balance}}{\text{Actual Revenues - less AEA Flowthrough}}$$

The financial solvency ratio measures movement and distribution of current assets. The financial solvency ratio represents a school district's year end position after payment of all current and outstanding or accrued liabilities.

Ranges utilized are:

TARGETED SOLVENCY POSITION:

Financial Solvency Ratio ranging from 7% to 17% of actual revenues. A school district is able to meet unforeseen financing requirements and presents a sound risk for the timely repayment of short-term obligations.

ACCEPTABLE SOLVENCY POSITION:

Financial Solvency Ratio ranging from 0% to 4.99% of actual revenues. Fund balance is considered adequate for short-term credit purposes as long as other local economic trends, such as property tax collections and enrollment are sound.

SOLVENCY ALERT:

A solvency alert exists if the school corporation has a negative solvency ratio up to -3.0% of actual revenues. A negative solvency position in this range warrants prompt management response but could be caused by operating revenue/expenditure fluctuations within one budget year.

SOLVENCY CONCERN:

A solvency concern exists if the school corporation has a negative solvency ratio in excess of -3.0% of actual revenues.

Source: School District Financial Records

Linn-Mar Community School District

**Schedule of Average Daily Membership (ADM), Average
Daily Attendance (ADA) and Ratio of ADA to ADM
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year Ending June 30,	Average Daily Membership (ADM)	Average Daily Attendance (ADA)	Ratio of ADA to ADM
2025	7,132	6,723	94.27%
2024	7,348	6,947	94.54%
2023	7,326	6,843	93.41%
2022	7,462	6,909	92.60%
2021	7,518	7,265	96.64%
2020	7,665	7,315	95.43%
2019	7,574	7,232	95.48%
2018	7,568	7,224	95.45%
2017	7,478	7,140	95.49%
2016	7,241	7,001	96.68%

Source: District Enrollment Records

Linn-Mar Community School District

**Open Enrolled Students
Last Ten Fiscal Years
(Unaudited)**

School Year	Open Enrollment In	Open Enrollment Out	Net Gain (Loss)
2025	607.5	895.7	(288)
2024	623.4	887.5	(264)
2023	595.2	838.1	(243)
2022	665.2	690.5	(25)
2021	645.2	714.2	(69)
2020	622.3	657.9	(36)
2019	605.6	648	(42)
2018	608.6	599	10
2017	589.9	555	35
2016	565.5	571.4	(6)

Source: School District Certified Enrollment Records

COMPLIANCE SECTION







**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
Linn-Mar Community School District
Marion, Iowa

We have audited in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Linn-Mar Community School District as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated November 11, 2025.

Our report includes an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 101.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Linn-Mar Community School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Linn-Mar Community School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Linn-Mar Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified.. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified a certain deficiency in internal control, described in the accompanying Schedule of Findings and Responses, as item 2025-001.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Linn-Mar Community School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part II of the accompanying Schedule of Findings and Responses.

Comments involving statutory and other legal matters about Linn-Mar Community School District's operations for the year ended June 30, 2025 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the findings identified in our audit and described in the accompanying Schedule of Findings and Responses. The District's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 11, 2025

Linn-Mar Community School District

**Schedule of Findings and Responses
Year Ended June 30, 2025**

Part I: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

Significant Deficiency

2025-001

Finding: The District had not reconciled the Nutrition Fund revenue to the District's point of sale system to ensure sales revenue is properly recorded.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: The District did not record the January 2025 and June 2025 Nutrition Fund meal and food sales to the District's trial balance.

Cause: There is not a routine process to compare sales revenue to the point of sale system.

Effect: Revenues were understated by approximately \$242,000.

Context: This finding pertains to the charges for services of the Nutrition Fund. Total charges for sales of the fund for fiscal year 2025 are approximately \$2.2 million.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: We recommend the District establish a routine process to compare the Nutrition Fund revenues on the District's trial balance to the Nutrition Fund point of sale system total sales and resolve differences in a timely manner.

Response and Corrective Action Plan: The District will review current processes and determine procedures to implement to ensure Nutrition Fund revenue is properly recorded.

Part II: Other Findings Related to Statutory Reporting

II-A-25

Certified Budget – Expenditures for the year ended June 30, 2025 did not exceed the certified budget.

II-B-25

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

II-C-25

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

II-D-25

Business Transactions – No business transactions between the District and District officials or employees were noted.

(Continued)

Linn-Mar Community School District

Schedule of Findings and Responses Year Ended June 30, 2025

II-E-25

Restricted Donor Activity- No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

II-F-25

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

II-G-25

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

II-H-25

Certified Enrollment:

Finding: The Department of Management identified variances in certified enrollment certified to the state in October 2024.

Recommendation: We recommend the District review certified enrollment data prior to submission to ensure accuracy of the information certified to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

II-I-25

Supplementary Weighting-

Finding: The District identified variances in supplementary weighting submitted to the state in October 2024.

Recommendation: We recommend the District review supplementary weighting data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

II-J-25

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

II-K-25

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely.

(Continued)

Linn-Mar Community School District

Schedule of Findings and Responses Year Ended June 30, 2025

II-L-25

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

II-M-25

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2025, the District did not reduce tax levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

Beginning balance	\$ 19,890,610
Revenue / transfers in:	
Statewide sales and services tax revenue	10,008,279
Issuance of long-term debt	10,000,000
Premium on issuance of long-term debt	70,081
Other	639,274
Expenditures/transfers out:	
Transfers out	(7,457,663)
Instruction	(1,160,777)
Instructional staff	(3,037)
Debt service	(228,887)
Capital outlay for facilities and property and equipment	(17,649,512)
Ending balance	<u><u>\$ 14,108,368</u></u>